

Highmark Health

EIN 45-3674900

**Reports on Federal Awards in
Accordance with the Uniform Guidance
December 31, 2024**

Highmark Health
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December 31, 2024 and 2023

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Report of Independent Auditors

To the Board of Directors of Highmark Health

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Highmark Health and its subsidiaries and affiliates (the “Company”), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations and changes in net assets and of cash flows for the years then ended, including the related notes (collectively referred to as the “consolidated financial statements”).

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company’s ability to continue as a going concern for one year after the date the consolidated financial statements are issued.



Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS and *Government Auditing Standards*, will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with US GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.



Required Supplemental Information

Accounting principles generally accepted in the United States of America require that the prior years incurred and paid claims development information, net of reinsurance, on pages 40 and 41 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplemental Information

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying consolidating balance sheets as of December 31, 2024 and consolidating statements of operations for the year then ended December 31, 2024 (collectively the "consolidating information") are presented for purposes of additional analysis and are not a required part of the consolidated financial statements. The consolidating information is not intended to present, and we do not express an opinion on, the financial position, results of operations and cash flows of the individual companies. The accompanying schedule of expenditures of federal awards for the year ended December 31, 2024 is presented for purposes of additional analysis as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) and is not a required part of the consolidated financial statements. The consolidating information and the schedule of expenditures of federal awards (collectively the "supplemental information") are the responsibility of management and were derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The supplemental information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures, in accordance with auditing standards generally accepted in the United States of America. In our opinion, the consolidating information and the schedule of expenditures of federal awards are fairly stated, in all material respects, in relation to the consolidated financial statements taken as a whole.



Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated March 13, 2025, except with respect to the opinion on the schedule of expenditures of federal awards, as to which the date is September 25, 2025, on our consideration of the Company's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters for the year ended December 31, 2024. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Company's internal control over financial reporting and compliance.

PricewaterhouseCoopers LLP

Hartford, Connecticut

March 13, 2025, except with respect to the opinion on the schedule of expenditures of federal awards, as to which the date is September 25, 2025

Highmark Health

Consolidated Balance Sheets

Years Ended December 31, 2024 and 2023

(in thousands of dollars)

	2024	2023
Assets		
Cash and cash equivalents	\$ 1,407,585	\$ 1,130,309
Accounts receivable		
Insurance, less allowance for doubtful accounts of \$83,559 and \$58,491, respectively	3,856,915	3,354,247
Patient service	356,716	347,866
Other	286,606	310,890
Investments		
Debt securities, available-for-sale at fair value	6,321,190	6,091,470
Equity securities	2,254,064	2,318,859
Board designated, restricted and other investments at fair value	743,173	710,347
Investment in affiliates	322,242	306,406
Other	615,614	609,906
Reinsurance recoverables	186,523	267,689
Securities lending invested collateral	562,868	495,227
Medical supplies and inventory, net	117,421	110,387
Income tax recoverable	54,695	58,795
Deferred tax asset	62,511	60,524
Property and equipment, net	2,714,133	2,747,100
Goodwill and other intangible assets, net	407,528	387,539
Operating lease right to use assets	352,231	363,938
Financing lease asset	63,133	69,932
Benefit plan asset	509,417	482,424
Other assets	1,313,697	1,279,042
Total assets	<u>22,508,262</u>	<u>21,502,897</u>
Liabilities and Net Assets		
Claims and claim adjustment expenses outstanding	\$ 4,647,968	\$ 3,967,729
Unearned revenue	294,214	282,329
Amounts held for others	960,175	825,878
Accrued salaries and benefits	707,853	715,584
Other payables and accrued expenses	1,736,081	1,790,586
Income tax payable	10,896	3,319
Securities lending payable	562,361	494,882
Benefit plan liabilities, net	293,325	295,308
Operating lease right to use liabilities	372,541	391,560
Financing lease liabilities	72,159	78,138
Debt	2,757,619	2,552,223
Other liabilities	289,022	330,357
Total liabilities	<u>12,704,214</u>	<u>11,727,893</u>
Without donor restrictions - Highmark Health	9,345,279	9,373,044
Without donor restrictions - noncontrolling interest	50,894	39,316
Total net assets without donor restrictions	<u>9,396,173</u>	<u>9,412,360</u>
With donor restrictions	407,875	362,644
Total net assets	<u>9,804,048</u>	<u>9,775,004</u>
Total liabilities and net assets	<u>\$ 22,508,262</u>	<u>\$ 21,502,897</u>

The accompanying notes are an integral part of these Consolidated Financial Statements.

Highmark Health

Consolidated Statements of Operations and Changes in Net Assets

December 31, 2024 and 2023

(in thousands of dollars)

	2024	2023
Revenue and other support		
Premium revenue, net	\$ 23,263,944	\$ 21,574,683
Net patient service revenue	3,539,890	3,398,463
Service and other revenue	2,313,441	2,115,326
Affiliates income	31,531	3,292
Net assets released from restriction	10,689	8,432
Total revenue and other support	<u>29,159,495</u>	<u>27,100,196</u>
Expenses		
Claims and claim adjustment expenses	20,638,880	18,628,540
Salaries, wages and other operating expenses, net	7,322,518	7,075,648
Patient care supplies	1,269,098	1,113,646
Depreciation and amortization	441,284	443,236
Total operating expenses	<u>29,671,780</u>	<u>27,261,070</u>
Operating loss	(512,285)	(160,874)
Net investment income, including net realized gains on investments	597,463	618,812
Interest expense	(91,047)	(86,215)
Other components of net periodic benefit cost	117,237	111,912
Excess of revenue over expenses before income taxes	<u>111,368</u>	<u>483,635</u>
Income tax provision (benefit)	58,328	(54,257)
Excess of revenue over expenses before noncontrolling interest	<u>53,040</u>	<u>537,892</u>
Excess of revenue over expenses attributable to noncontrolling interest	3,298	4,710
Excess of revenue over expenses attributable to Highmark Health	<u>\$ 49,742</u>	<u>\$ 533,182</u>

(Continued)

The accompanying notes are an integral part of these Consolidated Financial Statements.

Highmark Health

Consolidated Statements of Operations and Changes in Net Assets

Years Ended December 31, 2024 and 2023

(in thousands of dollars)

	2024	2023
Net assets without donor restrictions - Highmark Health		
Excess of revenue over expenses	\$ 49,742	\$ 533,182
Unrealized net holding (losses) gains on available-for-sale securities	(53,144)	144,165
Reclassification for net losses on investments included in loss	14,616	74,836
Benefit plan asset and liability changes, net of tax of (\$445) and (\$1,478), respectively	(81,971)	(7,024)
Net assets released from restriction for acquisition of equipment	1,858	3,116
Income tax benefit on transfers to related parties	46,402	-
Other, net	(5,268)	(3,322)
(Decrease) increase in net assets without donor restrictions - Highmark Health	(27,765)	744,953
Net assets without donor restrictions - noncontrolling interest		
Excess of revenue over expenses	3,298	4,710
Sale of non-controlling interest	7,523	-
Other	757	1,765
Increase in net assets without donor restrictions - noncontrolling interest	11,578	6,475
Net assets with donor restrictions		
Contributions	28,132	9,867
Net investment income	39,311	41,227
Net assets released from restrictions used for:		
Operations	(10,689)	(8,432)
Acquisition of equipment	(1,858)	(3,116)
Transfer out of trusts to net investment income	(11,287)	(8,741)
Other, net	1,622	(1,457)
Increase in net assets with donor restrictions	45,231	29,348
Increase in net assets	29,044	780,776
Net assets		
Beginning of the year	9,775,004	8,994,228
End of the year	<u>\$ 9,804,048</u>	<u>\$ 9,775,004</u>

The accompanying notes are an integral part of these Consolidated Financial Statements.

Highmark Health

Consolidated Statements of Cash Flows

Years Ended December 31, 2024 and 2023

(in thousands of dollars)

	2024	2023
Cash flows from operating activities		
Increase in net assets	\$ 29,044	\$ 780,776
Adjustments to reconcile change in net assets to net cash provided by (used in) operating activities		
Bad debt expense	29,664	14,154
Depreciation and amortization, including investments	436,281	422,026
Net realized (gains) losses on investments	(124,817)	44,078
Net unrealized gains on investments	(44,292)	(513,234)
Undistributed (gain) loss of affiliates	(24,544)	9,201
Beneficial interest in perpetual trusts	(21,556)	(25,919)
Benefit plan liability changes	81,971	7,024
Deferred income tax benefit	(2,093)	(15,486)
Restricted contributions	(28,132)	(9,867)
(Decrease) increase due to change in		
Accounts receivable	(396,602)	(279,472)
Reinsurance recoverables	81,166	2,695
Pharmacy rebates receivable	(54,750)	(86,834)
Other assets	(118,622)	(17,869)
Claims and claim adjustment expenses	680,239	38,136
Amounts held for others	134,297	(7,229)
Benefit plan liabilities, net	(110,715)	(107,403)
Other liabilities	(10,556)	(267,461)
Net cash provided by (used in) operating activities	<u>535,983</u>	<u>(12,684)</u>
Cash flows from investing activities		
Purchases of investments	(4,259,994)	(2,515,940)
Proceeds from sales of investments	3,762,890	2,275,100
Proceeds from maturities of investments	515,827	531,949
Purchases of property and equipment, net	(395,356)	(483,463)
Change in securities lending invested collateral	(67,479)	(126,284)
Net cash used in investing activities	<u>(444,112)</u>	<u>(318,638)</u>
Cash flows from financing activities		
Restricted contributions	28,132	9,867
Change in book overdrafts	(5,602)	17,004
Receipts from contract deposits	644,787	518,087
Withdrawals from contract deposits	(765,308)	(514,491)
Change in securities lending payable	67,479	126,284
Proceeds from issuance of debt	21,296,000	21,095,317
Repayment of debt	(21,088,327)	(20,928,881)
Net cash provided by financing activities	<u>177,161</u>	<u>323,187</u>
Increase (decrease) in cash, cash equivalents and restricted cash	269,032	(8,135)
Cash, cash equivalents and restricted cash		
Beginning of year	1,211,353	1,219,488
End of year	<u>\$ 1,480,385</u>	<u>\$ 1,211,353</u>

The accompanying notes are an integral part of these Consolidated Financial Statements.

Highmark Health

Consolidated Statements of Cash Flows

Years Ended December 31, 2024 and 2023

(in thousands of dollars)

	2024	2023
Supplemental disclosure of cash flow information		
Interest paid, net	\$ 104,291	\$ 96,392
Income taxes paid, net	5,803	11,865
Supplemental disclosure of noncash investing and financing		
Assets acquired through other payables	1,839	(19,885)
Reconciliation of total cash, cash equivalents and restricted cash		
Cash and cash equivalents	1,407,585	1,130,309
Restricted cash included in board designated, restricted and other investments at fair value	72,800	81,044
Total cash, cash equivalents and restricted cash shown in the statement of cash flows	<u>\$ 1,480,385</u>	<u>\$ 1,211,353</u>

The accompanying notes are an integral part of these Consolidated Financial Statements.

Highmark Health

Notes to Consolidated Financial Statements

December 31, 2024 and 2023

(in thousands of dollars)

1. Nature of Operations

Highmark Health is incorporated as a nonprofit corporation in the Commonwealth of Pennsylvania and is federally recognized as a 501(c)(3). Highmark Health, together with its subsidiaries and affiliates, is a diversified health and wellness enterprise based in Pittsburgh, Pennsylvania. Highmark Health consists of Highmark Inc., HM Health Solutions (d/b/a “enGen”) and Allegheny Health Network, among others. Highmark Health and its subsidiaries and affiliates are herein referred to as the “Corporation.”

Highmark Inc., and its subsidiaries and affiliates (collectively “Highmark”), is incorporated as a nonprofit corporation operating as a hospital plan corporation and a professional health services plan in the Commonwealth of Pennsylvania. Highmark Health is the sole corporate member of Highmark and is also the primary licensee of the Blue Cross and Blue Shield Association (“BCBSA”). Highmark’s affiliates, Highmark West Virginia Inc. (“Highmark WV”), Highmark BCBSA Inc. (“Highmark DE”) and Highmark Western and Northeastern New York (“Highmark NY”) are nonprofit health services corporations and operate in the states of West Virginia, Delaware, and New York, respectively. As licensees of the BCBSA, Highmark and certain of its subsidiaries and affiliates underwrite various indemnity and managed care health insurance products for national accounts (groups headquartered in Pennsylvania, West Virginia, Delaware, and New York that have operations in other locations), regional accounts and individual accounts. In addition, Highmark and certain of its subsidiaries and affiliates underwrite Medicaid, Medicare Advantage, Medicare Part D prescription drug and Medicare supplemental insurance products.

Highmark’s wholly owned for-profit subsidiary, United Concordia Companies, Inc. (“UCCI”) and its subsidiaries, provide dental services through preferred provider and managed care networks as well as third party administrative services. Highmark’s other for-profit subsidiaries, including HM Insurance Group, LLC (“HMIG”), offer stop-loss insurance and other services.

enGen is a for-profit corporation that provides health plan administration platform services, infrastructure management, and other technology services.

Allegheny Health Network, and its subsidiaries and affiliates (collectively “AHN”), are incorporated as a nonprofit corporation in the Commonwealth of Pennsylvania and are federally recognized as a 501(c)(3). AHN’s subsidiaries and consolidated affiliates primarily are nonprofit health care providers offering routine and tertiary healthcare services, clinical support, and healthcare education in Western Pennsylvania. Additionally, AHN’s other for-profit and nonprofit subsidiaries manage and develop outpatient medical facilities, which offer a variety of services including pharmacies, primary care, imaging, and group hospital purchasing services.

2. Summary of Significant Accounting Policies

Basis of Financial Presentation

The accompanying Consolidated Financial Statements are presented on the accrual basis of accounting, in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Consolidated Financial Statements include the accounts of the Corporation, and all significant intercompany balances and transactions have been eliminated.

The Corporation uses the equity method of accounting for 50% or less owned affiliates and those affiliates for which the Corporation does not hold a controlling financial interest but may influence operating or financial decisions.

Highmark Health

Notes to Consolidated Financial Statements

December 31, 2024 and 2023

(in thousands of dollars)

Highmark Health is the sole corporate member of Highmark Inc, who in turn is the sole corporate member of Highmark WV, Highmark DE, and Highmark NY. The Corporation has the authority to elect all the members of the Board of Directors of Highmark WV, Highmark DE, and Highmark NY. In accordance with its articles of incorporation, no part of the funds, income or net earnings of Highmark WV, Highmark DE or Highmark NY may inure to the benefit of the Corporation. In the event of dissolution or winding up of the affairs of Highmark WV, its assets are required to be distributed in the manner provided for nonprofit corporations by the statutes of the State of West Virginia or the rules and regulations of the Insurance Commissioner of the State of West Virginia, each as then in effect. Likewise, in the event of dissolution of Highmark DE, the Directors shall cause any remaining assets of Highmark DE to be distributed to a foundation created pursuant to Delaware law or to a federally tax-exempt organization. Likewise, in the event of dissolution of Highmark NY, its assets are required to be distributed in the manner provided for nonprofit corporations by the statutes of the State of New York or the rules and regulations of the Insurance Commissioner of the State of New York, subject to the approval of the state attorney general, each as then in effect. Creditors of the Corporation should not anticipate that any of the assets or revenues of Highmark WV, Highmark DE or Highmark NY are or will be available to pay their claims, either currently or at any time in the future. At December 31, 2024 and 2023, Highmark WV's total reserves were \$920,564 and \$898,766, respectively. At December 31, 2024 and 2023, Highmark DE's total reserves were \$478,027 and \$482,945, respectively. At December 31, 2024 and 2023, Highmark NY's total reserves were \$591,736 and \$670,486, respectively.

Reclassifications

The Corporation has reclassified certain amounts relating to its prior period results to conform to its current period presentation. These reclassifications have not changed the results of operations of prior periods. As presented in the Consolidated Statements of Cash Flows for the year ended December 31, 2023, borrowings and repayments on lines of credit are now reflected on a gross basis, with no impact on previously reported cash flows provided by financing activities.

New Accounting Pronouncements

Implemented

In January 2023, Financial Accounting Standards Board ("FASB") issued additional guidance regarding the Organization for Economic Co-Operation and Development ("OECD") Pillar Two tax, indicating that it believes the tax to be an alternative minimum tax under GAAP. The new guidance is effective for fiscal years beginning in 2024. The Corporation evaluated the impact of the available guidance and determined the Corporation qualifies as an "Excluded Entity", and as such the provisions of the Pillar Two tax do not have an impact on its financial position, results of operations, or cash flows.

Under Evaluation

In August 2018, FASB issued new accounting guidance to improve the financial reporting for insurers that issue long-duration contracts. The guidance includes improvements to current provisions such as changes to the measurement of liabilities for future policy benefits to utilize current, rather than locked-in, assumptions and an updated discount rate at each reporting date, required amortization of deferred acquisition costs on a constant level basis, new provisions regarding market risk benefits, and enhanced disclosure requirements. The new guidance is effective for fiscal years beginning after December 15, 2024, applied to contracts in force as of the beginning of the earliest period presented on the basis of their existing carrying amounts, through a modified retrospective transition method. The Corporation is evaluating the impact of the new guidance on its financial position, results of operations, cash flows, and disclosures. The Corporation expects immaterial impact resulting from the new guidance as long-duration contracts engaged in by the Corporation to not be material.

Highmark Health

Notes to Consolidated Financial Statements

December 31, 2024 and 2023

(in thousands of dollars)

In December 2023, FASB issued new guidance on improvements to income tax disclosures. The new guidance requires disaggregated information about a reporting entity's effective tax rate reconciliation as well as information on income taxes paid. The new guidance is effective for the Corporation for fiscal years beginning after December 15, 2025. The Corporation is evaluating the impact of the new guidance on its financial statement disclosures.

Use of Estimates

The preparation of the Corporation's Consolidated Financial Statements in conformity with GAAP requires management to make estimates and assumptions that affect the amounts reported in the Consolidated Financial Statements and accompanying notes. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Corporation considers all highly liquid investments with maturities of three months or less when purchased, excluding assets limited or restricted as to use, to be cash equivalents.

Accounts Receivable

In the normal course of business, the Corporation grants credit to its customers under various contractual arrangements. The Corporation carries its accounts receivable at estimated net realizable value, which includes the allowance for expected credit losses. The allowance for expected credit losses is primarily based on previous collection experience and aging of customer balances, adjusted for current and forecasted economic and market conditions. The adequacy of allowances is regularly reviewed and adjusted, as necessary. No significant write-offs of balances or credit losses occurred in 2024 and 2023.

Insurance accounts receivable is specific to Highmark business and includes amounts related to health, dental, vision, stop-loss, and government business accounts receivable. An allowance for expected credit losses is based on a number of factors, including economic experience, past history, trends, coverage type, current and forecasted macroeconomic factors, and other indicators. When it is determined an accounts receivable balance is not collectible, it is written off.

Patient service accounts receivable is specific to AHN business and includes amounts receivable from patients, third-party payors, and others for services as they are rendered, at an amount that reflects implicit price concessions based upon historical collection rates.

Other accounts receivable primarily includes receivables from affiliates, accrued interest revenue, receivables from securities sold and other receivables not associated with the Corporation's core business.

Concentrations of credit risk, excluding government payors, are limited due to the large number of Highmark Health customers.

Investments

Debt securities are classified as available-for-sale and are carried at fair value (based on quoted or estimated market prices). Unrealized gains and losses on available-for-sale debt securities are reported in net assets without donor restrictions, net of deferred income taxes. Derivatives embedded within convertible debt securities are bifurcated, with changes in fair value included in earnings; any remaining unrealized gains or losses of the convertible bonds are reported in net assets without donor restrictions, net of deferred income taxes. Premiums and discounts are amortized using the effective interest method. Realized gains and losses on debt securities are based on amortized cost. Realized gains and losses on available-for-sale debt securities are reported in net investment income in the Consolidated Statements of Operations.

Highmark Health

Notes to Consolidated Financial Statements

December 31, 2024 and 2023

(in thousands of dollars)

On at least an annual basis, the Corporation reviews the fair value of its available-for-sale debt securities against amortized cost value. For securities whose fair value is lower than amortized cost, impairment is considered to have occurred. The Corporation then evaluates if impairment losses on its available-for-sale debt securities are associated with expected credit losses. In determining if an expected credit loss has occurred, the Corporation considers whether it has intent to sell the debt security or whether it is more likely than not that the Corporation will be required to sell the debt security before recovery of its amortized cost basis, which may be at maturity. If the Corporation is likely to sell a debt security before recovering its amortized cost, an impairment loss (excluding expected credit loss) is recognized in the Consolidated Statements of Operations. This loss equals the difference between fair value and amortized cost, with a corresponding adjustment to the security's carrying value.

If the Corporation does not have the intent to sell and it does not believe that it is more likely than not that it will be required to sell the debt security before recovery of its amortized cost, the Corporation performs a detailed review to determine the underlying cause of the unrealized loss and whether an expected credit loss has occurred. The determination of expected credit loss includes review of factors such as the extent to which amortized cost exceeds fair value, changes in the security's credit ratings, failure of the issuer to make scheduled payments, write-downs of principal amounts, and adverse conditions specific to the industry or financial condition of the security's issuer. In addition, a discounted cash flow analysis is performed to compare the expected cash flows to be received from the security against the amortized cost basis. If the amortized cost basis exceeds the expected cash flows, credit loss has been determined to have occurred.

If a credit loss has been determined to have occurred, it is recognized within net gain on investments in the Consolidated Statements of Operations, with a corresponding adjustment to the credit loss allowance. Any portion of the credit loss that is related to non-credit factors (if any), is recognized in other comprehensive loss, net of deferred income taxes, in the Consolidated Statements of Changes in Net Assets. The credit loss may not exceed the difference between the amortized cost basis and the fair value of the debt security.

Equity securities are carried at fair value based on quoted or estimated market prices; except for certain equity investments, which are valued at net asset value ("NAV") as a practical expedient to fair value. Changes in the fair value of equity securities are reported in net investment income on the Consolidated Statements of Operations. Realized gains and losses on equity securities are based on cost (specific identification method) and are reported in net investment income on the Consolidated Statements of Operations.

Board designated, restricted and other investments include assets whose use is contractually limited by external parties and assets set aside by the Board of Directors for future capital improvements or liquidity, over which the Board retains control and may, at its discretion, subsequently use for other purposes, as well as assets held by trustees under indenture agreements. Other investments consist primarily of marketable debt and equity securities and marketable securities maintained in a master trust fund. Investment income or loss (including realized gains and losses, interest and dividends, and unrealized gains and losses) is recorded in net investment income in the Consolidated Statements of Operations unless restricted by donor or law. Investment income related to restricted gifts is recorded based on donor restriction as part of net assets with donor restrictions in the Consolidated Statements of Changes in Net Assets.

Other investments include investments in private limited partnerships, private equities, real estate trusts, limited liability companies and mortgage loans. Private limited partnerships are carried at NAV as a practical expedient to fair value. The Corporation has committed \$174,207 and \$174,966 to various private limited partnership investments at December 31, 2024 and 2023, respectively. These commitments are due upon capital calls by the general partners of the partnerships. Real estate

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investment trusts are valued at NAV as a practical expedient to fair value and are approximated based on trustee estimates. Private equities and limited liability companies are accounted for under the cost or equity method, dependent on certain factors including ownership of a controlling percentage and the ability to exercise significant influence. Mortgage loans are carried at the lower of amortized cost or unpaid principal balance, net of credit loss allowances. Interest income and amortization amounts are recognized as adjustments of yield and are included in net investment income. The Corporation monitors its other investments for unrealized losses that appear to indicate impairment. At the time an investment is determined to be impaired, the Corporation reduces the book value to the current market value and records a realized loss in net investment income in the Consolidated Statements of Operations.

The Corporation participates in securities lending transactions, which are accounted for as secured borrowings. The Corporation utilizes a custodian as a lending agent, maintains effective control over the loaned securities and requires collateral initially equal to at least 102% of loaned domestic securities and 105% of loaned international securities at the loan date. Collateral received consists of cash and fixed-income securities. Non-cash collateral is not recorded in the Consolidated Balance Sheets, as the Corporation does not have the right to sell, pledge or otherwise reinvest the non-cash collateral. Cash collateral is invested in short-term debt securities and is carried at fair value. Changes in fair value are reported as unrealized gains and losses within net assets without donor restrictions.

The fair value of securities held as invested collateral was \$562,868 and \$495,227 at December 31, 2024 and 2023, respectively. The corresponding liability that represents the Corporation's obligation to return the collateral was \$562,361 and \$494,882 at December 31, 2024 and 2023, respectively. The potential risks associated with the transactions include counterparty credit risk, non-cash collateral security risk, lending agent operational risk, and cash collateral reinvestment risk, including the risk that the reinvested collateral would be illiquid, insufficient to repay borrowers, would differ in maturity, or be otherwise unavailable to return the cash collateral to counterparties.

The Corporation and its lending agent mitigate those risks by limiting the amount of investments available for loan, limiting the amount of borrowings by any one counterparty, maintaining effective control over loaned securities, evaluating the credit of counterparties, maintaining a list of approved borrowers, requiring overcollateralization, placing limitations, including duration and credit quality, on the investment of cash collateral, conducting daily mark-to-market pricing of securities, collateral and invested collateral, and maintaining a written agreement with the lending agent that includes certain protections.

The Corporation's assets are invested in a variety of financial instruments. Accordingly, the related values as presented in the Consolidated Financial Statements are subject to various market fluctuations, which include changes in the interest rate environment, equity markets and general economic conditions.

Reinsurance

In the normal course of business, to mitigate unexpected losses and improve underwriting results, the Corporation reinsures some risks with other insurance enterprises or reinsurers. Reinsurance premiums and benefits paid or provided are accounted for in a manner consistent with the original policies issued and the terms of the reinsurance contracts. The Corporation also assumes risks from other insurance companies. Such assumed reinsurance activity is recorded principally on the basis of reports received from the ceding companies.

Effective January 1, 2024, Highmark Inc. and HMIG entered into reinsurance contracts with The Canada Life Assurance Company to reduce required capital. The contracts do not meet risk transfer requirements under GAAP and are accounted for using deposit accounting. The business subject to

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the contracts are a portion of the Corporation's stop loss and fully insured comprehensive medical business.

Medical Supplies and Inventory, Net

Medical supplies and inventory consists primarily of health care delivery related drugs, medical supplies, and surgical supplies. Inventory is stated at the lower of cost or market and net of obsolescence reserves. Health care delivery related inventory cost is determined using the first-in first-out basis.

Property and Equipment, Net

Property and equipment are recorded at cost, net of accumulated depreciation and amortization. If a donor contributes property and equipment, it is recorded at the fair market value on the date contributed. Maintenance, repairs, and minor improvements are expensed as incurred. Certain costs related to the internal development of software or software purchased for internal use are capitalized. Gains or losses on sales or disposals of property and equipment are included in operations.

Depreciation is computed under the straight-line method over the estimated useful lives of the various asset types as follows: buildings and building or land improvements, up to forty years; leasehold improvements, lesser of lease term or useful life; office furniture and equipment, three to thirty years; and capitalized software, three to ten years.

Property and equipment are reviewed for impairment whenever changes in circumstances indicate that the carrying value of the assets may not be recoverable. Impairment losses are recognized to the extent the carrying amount of an asset exceeds the undiscounted future cash flows expected to result from the use of the asset and its eventual disposal. No material impairments were recognized in 2024 and 2023.

Goodwill and Other Intangible Assets, Net

Intangible assets with definite lives are amortized using the straight-line method over their estimated lives, which range from three to thirty years. Intangible assets with indefinite useful lives, including goodwill, are not amortized, but are tested for impairment at least annually and more frequently if events or changes in circumstances indicate that an asset may be impaired. If the fair value is less than the carrying value, the asset is adjusted to the fair value and an impairment loss is recorded in the Consolidated Statements of Operations. No impairment was recognized in 2024 and 2023.

Goodwill consists primarily of amounts related to AHN, Medicaid business, and UCCI. Other intangible assets are primarily comprised of customer relationships and provider contracts, among others. See Note 8 for additional information.

Leases

The Corporation determines if an arrangement is a lease and its lease classification (operating or finance) at inception. Both operating and finance leases result in (1) a right-of-use ("ROU") asset that represents the Corporation's right to use the underlying asset for the lease term and (2) a lease liability that represents the Corporation's obligation to make lease payments arising from the lease.

These lease assets and liabilities are recognized at the lease commencement date based on the present value of the lease payments over the lease term. Most of the Corporation's leases do not provide an implicit rate and, as a result, the Corporation may use a risk-free rate determined using a period comparable to that of the lease term based on the information available at commencement date in determining the present value of lease payments or an estimated incremental borrowing rate, which is derived using a collateralized borrowing rate for the same currency and term as the associated lease. Determination of the rate utilized is dependent on the information available to the Corporation at lease inception. The ROU asset also includes any lease pre-payments made.

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The Corporation's expected life of a lease may consider options to extend or terminate a lease when it is reasonably certain that the Corporation will exercise that option. Certain leases include multiple optional renewal periods. The Corporation will evaluate extension periods within one year of expiration of the lease term.

Real estate leases include fixed rental payments. Most leases include lease payment increases at pre-determined dates. The Corporation has lease agreements with lease and non-lease components that are accounted for as a single lease component.

In the event of an abandonment of an ROU asset, or portion of an ROU asset, the Corporation will evaluate whether the circumstances leading to abandonment indicate impairment of the related asset group. Any identified impairment is recognized as an impairment loss at that point in time. If impairment is not identified, the asset group or determined separate lease component will be amortized in full by the cease-use date.

An ROU asset and lease liability is not recognized for leases with an initial term of twelve months or less and the Corporation recognizes lease expense for these leases over the lease term within other operating expenses.

Other Assets

Other assets primarily include prepaid expenses, pharmacy rebates receivable, insurance recoveries associated with medical malpractice, notes receivable, contract assets, and cash surrender values of corporate-owned life insurance policies held in grantor trusts.

Pharmacy rebates receivable, and the related customer liabilities, is an actuarial estimate based on prescriptions filled and terms of rebate contracts. The actuarial estimates are continually reviewed, and any resulting adjustments are included in current operations. Credit losses, if necessary, are estimated and recognized in conjunction with receivable recognition based upon historical experience and current and forecasted market conditions. The Corporation carries its notes receivable at estimated net realizable value, which reflects the impact of potential credit losses. Changes in cash surrender value are reported in net investment income in the Consolidated Statements of Operations.

Claims and Claim Adjustment Expenses Outstanding

Claims and claim adjustment expenses outstanding include claims reported and adjudicated but unpaid as well as an estimate of incurred but not reported ("IBNR") claims. The liability for IBNR claims is an actuarial estimate based on historical claims paid data, modified for current conditions and coverage changes. The methods to determine the estimate of IBNR claims use past experience adjusted for current trends. The methods and assumptions are continually reviewed, and any resulting adjustments are included in current operations. Corresponding administrative costs to process outstanding claims are estimated and accrued and are also included in claims and claim adjustment expenses outstanding.

The Corporation records certain non-risk administrative arrangements in claims liabilities. The non-risk administrative receivable is included in insurance accounts receivable and the corresponding provider liability is included in claims and claim adjustment expenses outstanding in the Consolidated Balance Sheets.

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Amounts Held for Others

Amounts held for others include reserves for refunds and deposits received from groups for non-risk administrative arrangements. Amounts held for others also include amounts related to the BlueCard program, which allows Highmark's members to access other Blue Cross and Blue Shield plans' provider networks.

Other Liabilities

Other liabilities include medical malpractice reserves, deferred grant revenue, book overdrafts and payor advances.

The provision for medical malpractice claims includes estimates of the ultimate costs for both reported claims and claims incurred but not reported, including costs associated with litigating or settling claims. Anticipated insurance recoveries associated with reported and unreported claims are reported in other assets in the Consolidated Balance Sheets at net realizable value.

The Corporation records deferred grant revenue for grant monies received until the revenue is earned or related costs have been incurred. Governmental grant monies received for the acquisition of property and equipment are deferred until the asset is provided or until depreciation expense is recognized.

Net Assets

Net assets without donor restrictions include investments and board designated assets set aside by the Corporation for future capital improvements or liquidity, over which the Corporation retains control and may at its discretion subsequently use for other purposes.

Net assets with donor restrictions include those whose use is limited by donor-imposed stipulations, including some that either expire with the passage of time or can be fulfilled and removed by actions of the Corporation pursuant to those stipulations. Additionally, net assets with donor restrictions include those whose use is limited by donor-imposed stipulations that neither expire with the passage of time nor can be fulfilled or otherwise removed by the actions of the Corporation. Investment earnings from net assets with donor restrictions may be donor restricted for capital or operating needs depending upon the original intent of the donor.

Net assets are released from donor restrictions by incurring expenses satisfying the restricted purposes of being placed-in-service, incurred, or by occurrence of other events specified by donors. Net assets released from restrictions and used for operations are recorded in net assets released from restriction. Net assets released from restriction and used for capital purposes are recorded as change in net assets without donor restrictions in the Consolidated Statements of Changes in Net Assets.

Insurance Revenue Recognition

Highmark's business consists of both at-risk insurance arrangements and non-risk administrative arrangements. Risk business includes all insurance contracts, which are reported as premium revenue. Premium revenue is generally billed in advance of the contractual coverage periods and is included in premium revenue as it is earned during the coverage period. The unearned portion of premiums collected is reflected in the Consolidated Balance Sheets as unearned revenue. Premium revenue is received from the federal government and certain states according to government specified payment rates and various contractual terms. Changes in revenues from Medicare, the Affordable Care Act ("ACA") and Medicaid products resulting from the periodic changes in risk-adjustment scores derived from medical diagnoses for the Highmark's membership are recognized when the amounts become determinable, and the collectability is reasonably assured.

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Net Patient Service Revenue

Revenues consist primarily of patient service revenues that are recorded based upon established billing rates less contractual adjustments and discounts. Revenues are recorded during the period the healthcare services are provided, based upon the estimated amounts due from the patients and third-party payers. Third-party payers include federal and state agencies (under the Medicare and Medicaid programs), managed care health plans and commercial insurance companies (including plans offered through the health insurance exchanges), and employers. Estimates of contractual adjustments are based upon the payment terms specified in the related contractual agreements. Contractual payment terms are generally based upon predetermined rates per diagnosis, per diem rates or discounted fee-for-service rates. Revenues related to uninsured patients and uninsured copayment and deductible amounts for patients who have health care coverage may have discounts applied (uninsured discounts and contractual discounts).

The Corporation records its patient service revenue at the transaction price estimated to reflect the total consideration due from patients and third-party payors in exchange for providing healthcare services. Retroactive settlements with third-party payors are a result of cost report filings, audits, and other investigations and are realized through patient service revenue in the period they are identified. Healthcare services are considered to be a single performance obligation and have a duration of less than one year. Revenues are recognized as these performance obligations are fulfilled. Revenue for performance obligations satisfied over time are recognized based on actual charges incurred in relation to total expected charges. The Corporation believes this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. The Corporation measures inpatient care, which is the performance obligation, from admission into the hospital to the point when it is no longer required to provide services to that patient, generally at the time of discharge. Outpatient performance obligations are measured from patient registration to the point where care is no longer required to be provided. Revenue for performance obligations satisfied at a point in time is generally recognized when goods are provided to patients, and the Corporation does not believe it has additional obligations to the patient.

The transaction price, which involves significant estimates, is determined based on standard charges for the goods and services provided, with a reduction recorded for price concessions related to third party contractual arrangements as well as patient discounts, patient price concessions, and additional expected credit losses, if any. Any revision in estimates is recognized in the period in which the estimates are revised. Amounts are billed to patients and third-party payors after the performance obligation is satisfied and payment is expected within a reasonable period of time, though settlement may occur well after the healthcare service is provided. The Corporation would provide refunds to patients and third-party payors once it is identified that overpayments have occurred.

The transaction price for the Corporation's healthcare services is variable due to the existence of price concessions due to various agreements with insurance, governmental payors, and self-pay patients. The transaction price reflects the expectations about the consideration that the Corporation is entitled to receive from the patient or third-party. The transaction price is determined by using portfolios of accounts that have similar payment methodologies and performance experience.

The provision for expected credit losses in the Consolidated Statements of Operations is reflected as an implicit price concession and considered an adjustment to arrive at patient service revenue. The implicit price concession is determined based upon historical collection rates and current and forecasted market conditions.

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The Corporation's net patient service revenues, by major payor, for the years ended December 31, 2024 and 2023 are as follows:

	2024	2023
Medicare	\$ 1,745,781	\$ 1,559,370
Medical assistance	296,621	308,314
Blue Cross Blue Shield payors	660,679	728,731
Other third-party payors	806,754	773,870
Self-pay patients	30,055	28,178
Total net patient service revenue	<u>\$ 3,539,890</u>	<u>\$ 3,398,463</u>

In 2024, revenue from Medicare and Medical Assistance programs accounted for 49% and 8%, respectively, of total patient service revenue, net of contractual allowances and discounts. In 2023, revenue from Medicare and Medical Assistance programs accounted for 46% and 9%, respectively, of total patient service revenue, net of contractual allowances and discounts. Laws and regulations governing the Medicare and Medicaid programs are complex and subject to interpretation. As a result, there is at least a reasonable possibility recorded estimates will change by a material amount.

Uncompensated Care and Community Services Benefit

AHN hospitals offer medical care to all patients, including those who may have difficulty paying for services due to limited income. AHN's financial assistance policy defines the income eligibility criteria, the type of financial assistance, and the services that are included and excluded under its policy. The policy sets forth the procedure by which a patient shall apply for financial assistance, sometimes referred to as charity care. If the patient and/or guarantor's income is at or under 200% of the Federal Poverty Guidelines, all patient liability balances will be forgiven at 100%, whereas discounted care for uninsured but not meeting charity thresholds ranges between 73% and 83% of gross charges based upon the look-back method at each facility. AHN does not pursue collection of amounts determined to qualify for charity care; therefore, charity care amounts are not recorded as net patient service revenue.

Of AHN's total expenses reported, an estimated \$19,300 and \$16,900 arose from providing services to charity patients in 2024 and 2023, respectively. AHN estimates these costs by applying the cost of the total direct and indirect costs of each procedure to the individual charity care cases. Patients are required to apply for the charity care discount but often do not complete the necessary paperwork to determine if they qualify.

In addition to uncompensated care, AHN provides free and below cost services and programs for the benefit of the community. The cost of these programs is included in the accompanying Consolidated Statements of Operations.

Service and Other Revenue

The administrative fees received under non-risk administrative arrangements are included in service revenue and recognized in the period in which the related services are performed, net of estimated uncollectible amounts. Administrative fees are calculated by multiplying the membership covered under the various contracts by the contractual rates. This also includes fees for management of medical services, claims processing and access to provider networks. Under non-risk administrative arrangements, the customer assumes the risk of funding claims. The Corporation does not record premium revenue or claims incurred on non-risk administrative arrangements. The expenses associated with administering the risk and non-risk business are included in salaries, wages and fringe benefits and other operating expenses in the Consolidated Statements of Operations. The Corporation routinely monitors the collectability of specific accounts, the aging of receivables, as well

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as prevailing and anticipated economic conditions, and reflects any required adjustments in current operations. The Corporation considers services provided under non-risk administrative contracts to be a combined performance obligation with benefits provided over the contract period.

Revenue related to the information technology platform services (access and build-out/enhancement services), application service provider (“ASP”) and business process outsourcing (“BPO”) services, data centering hosting (telephone and data network services), and print management is also included in service revenue. Platform access, ASP and BPO services, data centering hosting, and print management services are recognized on a transaction basis. The Corporation recognizes revenue when persuasive evidence of an arrangement exists, the sales price is fixed or determinable, services have been rendered, and collectability is reasonably assured. Revenues are recognized as the services are provided.

The Corporation recognizes revenue when the promised services are delivered to customers for an amount that reflects the consideration to which the Corporation expects to be entitled in exchange for those services. Revenues from services rendered under the transaction basis are recognized as the services are provided. The Corporation’s platform build-out and enhancement services include application development, maintenance, and support services. Revenues and related direct expenses from the platform build-out and enhancement services are deferred until a “go live” date or a date in which the platform build-out and enhancement services are available to the customer for use and recognized ratably over the term of the contract.

Services and other revenue also includes pharmacy rebates retained in lieu of fees charged for non-risk administrative arrangements, grants, contributions, physician stipends, Medicare and Medicaid electronic health record incentive payments, contracted physician services, and other ancillary hospital services revenue such as parking, cafeteria, tuition, and rent. The Corporation recognizes revenue for these revenue streams when the promised goods or services are delivered to customers for an amount that reflects the consideration to which the Corporation expects to be entitled. This recognition pattern aligns with the benefits from services provided to clients. All other revenue is composed of exchange transactions, with the exception of certain state and federal grants, which are non-exchange transactions and considered contributions for accounting purposes.

The Corporation’s customer contracts may also include incentive payments received for discrete benefits delivered or promised to be delivered to clients or service level agreements that could result in credits or refunds to the client. Revenues relating to such arrangements are accounted for as variable consideration when the amount of revenue to be recognized can be estimated to the extent that it is probable that a significant reversal of any incremental revenue will not occur. Such amounts are estimated at contract inception and are adjusted at the end of each reporting period as additional information becomes available.

The Corporation often enters into contracts with clients that include promises to transfer multiple products and services to the client. Determining whether products and services are considered distinct performance obligations that should be accounted for separately rather than together may require significant judgment. Judgment is also required to determine the standalone selling price for each distinct performance obligation. In instances where the standalone selling price is not directly observable, it is determined using information that may include market conditions and other observable inputs.

Affiliate Income

Affiliate income includes the Corporation’s proportionate share of net income and loss of unconsolidated affiliates which are accounted for under the equity method.

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Claims and Claims Adjustment Expenses

Claims and claims adjustment expenses includes claim payments, capitation payments, and various other costs incurred to provide health insurance coverage to members, claims processing and administrative costs, as well as estimates of future payments. Claims expenses are recognized in the period in which services are provided.

Salaries, Wages, and Other Operating Expenses Net

Salaries, wages, and other operating expenses, net includes salaries and wages, fringe benefits, and general and administrative fees such as facility expenses, advertising and marketing costs, software expenses, and outside services, among others. For the years ended December 31, 2024, and 2023, salaries, wages, and fringe benefits represent approximately 73% and 74%, respectively, of total salaries, wages, and other operating expenses, net. Expenses are recognized as incurred.

Contributions with Donor Restrictions

Unconditional promises to give cash and other assets to the Corporation are reported at fair value at the date the promise is received as unrestricted gifts within service revenue in the Consolidated Statements of Operations. Conditional promises to give and indications of intentions to give are reported at fair value at the date the gift is received. The gifts are reported as restricted support if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified as net assets without donor restrictions and reported in the Consolidated Statements of Operations as net assets released from restrictions. Donor restricted contributions whose restrictions are met within the same year are reported as net assets released from restriction in the accompanying Consolidated Financial Statements.

Income Taxes

Highmark Health and certain of the entities within AHN are tax-exempt organizations under Section 501(c)(3) of the Internal Revenue Code ("IRC") and are exempt from federal income taxes on exempt purpose income. These tax-exempt organizations are subject to federal taxes on unrelated business income under section 511 of the IRC.

Highmark Inc., Highmark WV, Highmark NY, and Highmark DE are subject to federal income taxes, although they remain exempt from state and local taxes. Highmark Inc., Highmark WV, Highmark NY, and Highmark DE file separate consolidated federal income tax returns. Certain non-insurance entities, health maintenance organizations, and insurance subsidiaries of Highmark Inc., Highmark WV, Highmark NY, and Highmark DE are subject to state income taxes. Provisions for the applicable tax liabilities have been made in the Consolidated Financial Statements.

Deferred tax assets and liabilities are determined based on differences between the financial reporting and tax basis of assets and liabilities and are measured using tax rates and laws that are expected to be in effect when the difference is reversed. The Corporation records a valuation allowance against its deferred tax assets when it determines that it is more likely than not that some portion or all of the deferred tax asset will not be realized. In evaluating the ability to utilize deferred tax assets, all available evidence, both positive and negative, is considered in determining future taxable income on a jurisdiction-by-jurisdiction basis.

The Corporation classifies interest and penalties expense related to income taxes as a component of income tax expense.

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Excess of Revenue over Expenses Attributable to Highmark Health

The Consolidated Statements of Operations include an excess of revenue over expenses. Changes in net assets without donor restrictions which are excluded from the excess of revenue over expenses, consistent with industry practice, include unrealized gains and losses on available-for-sale debt securities, benefit plan asset and liability changes, contributions of long-lived assets (including assets acquired using contributions which by donor restriction were to be used for the purposes of acquiring such assets) and certain tax benefits.

Subsequent Events

In connection with the preparation of the Consolidated Financial Statements, the Corporation evaluated events subsequent to the balance sheet date of December 31, 2024 through March 13, 2025, which is also the date the financial statements were issued and has determined that all material transactions have been recorded and disclosed properly.

3. Insurance Regulation

Highmark Inc. and its insurance subsidiaries and affiliates file financial statements with insurance departments in their states of domicile. These financial statements are prepared in accordance with statutory accounting principles prescribed by such regulatory authorities. Prescribed statutory accounting principles include state laws, regulations, and general administrative rules, as well as a variety of publications of the National Association of Insurance Commissioners ("NAIC"). Permitted statutory accounting practices encompass all accounting practices not prescribed.

Financial statements prepared for state insurance departments in accordance with statutory accounting principles differ from the Consolidated Financial Statements prepared in accordance with GAAP. The principal differences in statutory accounting are: (1) certain assets, such as accounts receivable aged more than 90 days, office furniture and equipment, non-operating software, certain provider advances, certain intangible assets and certain prepaid expenses, are excluded from statutory reserves; (2) pharmaceutical rebates receivable are limited based on the timing of billing and collection activities; (3) bonds are carried at amortized cost or fair value, not fair value as required under GAAP; (4) change in fair value of unaffiliated common stock is recorded directly to surplus rather than in results of operations as required under GAAP; (5) equity income or loss of subsidiaries, affiliates and limited partnerships is recorded directly to surplus rather than in results of operations as required under GAAP, with dividends or distributions recognized in statutory net income when declared; (6) investments in, and earnings from, Highmark Inc.'s controlled affiliates, Highmark DE, Highmark WV and Highmark NY, are not recognized; (7) certain assets and liabilities pertaining to reinsurance transactions are reported net of reinsurance; (8) deferred tax asset recognition is limited; (9) changes in deferred taxes are recorded directly to surplus rather than in the results of operations as required under GAAP; (10) tax benefits associated with uncertain tax positions are only recognized if the probability is greater than 50%; (11) the amount of expense recognized for pension and postretirement plans differs from GAAP primarily due to the required timing of the recognition of certain inputs for statutory accounting; (12) noncontrolling interest consolidated for GAAP purposes is not recognized; (13) certain equity transfers to affiliates are expensed; and (14) operating lease assets and liabilities are not recorded to the balance sheet and are expensed as incurred.

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As a result of the foregoing, statutory reserves at December 31, 2024 and 2023 and statutory net income for the years then ended was:

	2024	2023
Highmark (excluding Highmark WV, DE and NY)		
Statutory reserves	\$ 3,913,845	\$ 4,080,468
Statutory net (loss) income	(169,208)	157,255
Highmark WV		
Statutory reserves	933,706	880,699
Statutory net income	17,536	95,414
Highmark DE		
Statutory reserves	441,271	465,737
Statutory net (loss) income	(29,128)	2,903
Highmark NY		
Statutory reserves	487,728	572,173
Statutory net loss	(139,504)	(21,108)

Highmark Inc. and its insurance subsidiaries and affiliates are subject to minimum risk-based capital ("RBC") requirements that were developed by the NAIC and adopted by various state legislatures. The formula for determining the amount of RBC specifies various weighting factors that are applied to financial balances and various levels of activity based on perceived degrees of risk.

The RBC ratios of Highmark Inc. and its insurance subsidiaries and affiliates are compared to authorized control levels established by the NAIC. Companies below specific ratio thresholds may be required to take specific corrective actions. At December 31, 2024 and 2023, Highmark Inc. and its insurance subsidiaries and affiliates exceeded their respective minimum RBC requirements.

The Pennsylvania Insurance Commissioner ("Commissioner") has determined that an appropriate sufficient operating surplus range for Highmark Inc. is 550% - 750% of the health RBC ratio or the Commissioner's consolidated risk factor ratio, whichever is lower. As long as Highmark Inc. operates above the 550% ratio, it is not permitted to include a risk and contingency factor in its filed premium rates. If Highmark Inc.'s ratio exceeds 750%, it will be required to justify its surplus level and could be required to submit a plan to bring its surplus within the designated appropriate sufficient operating surplus range. At December 31, 2024 and 2023, Highmark Inc.'s health RBC ratio was within the appropriate sufficient operating surplus range determined by the Commissioner.

The ACA enacted significant reforms to various aspects of the U.S. health insurance industry. Certain of these reforms became effective January 1, 2014, including the establishment of federally facilitated or state-based exchanges which provide individuals and small businesses access to affordable and quality health insurance. Highmark participates in the Pennsylvania, West Virginia, Delaware, and New York markets.

The ACA also established three premium stabilization programs effective January 1, 2014. These risk spreading programs are applicable to certain commercial medical insurance products. In the aggregate, Highmark's commercial medical insurance products subject to the premium stabilization programs represented approximately 12% and 10% of the total premiums for the years ending December 31, 2024 and 2023, respectively. These programs, commonly referred to as the "3Rs", include a permanent risk adjustment program, a temporary risk corridor program and a transitional reinsurance program designed to more evenly spread the financial risk borne by issuers and to mitigate the risk that issuers would have mispriced products. The federal ACA transitional reinsurance program and the temporary risk corridor program were only effective for the 2014

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through 2016 benefit years. Therefore, the Corporation was not eligible for reimbursement under these programs for the 2024 and 2023 benefit years and there were no amounts recorded in the Consolidated Balance Sheets.

The permanent risk adjustment program adjusts the premiums that commercial individual and small group health insurance issuers receive based on the demographic factors and health status of each member as derived from current year medical diagnosis as reported throughout the year. This program transfers funds from lower risk plans to higher risk plans in the same state. The risk adjustment program is applicable to commercial individual and small group health plans (except certain exempt, grandfathered and grandmothered plans) operating both inside and outside of the health insurance exchanges established under the ACA. Under the risk adjustment program, a risk score is assigned to each covered member to determine an average risk score at the individual and small group level by legal entity in a particular market in a state. Additionally, an average risk score is determined for the entire subject population for each market in each state. Settlement amounts are determined by utilizing the Centers for Medicare and Medicaid Services ("CMS") risk transfer formula which averages all risk scores in risk adjustment covered plans and uses the plan average risk scores combined with other factors to calculate the settlement. Settlements are determined on a net basis by legal entity and state.

Prior to the settlement, the estimate of amounts receivable or payable under the risk adjustment program is based on an estimate of both Highmark's and the state average risk scores. Assumptions used in these estimates include but are not limited to historical market experience, member demographics including age and gender, pricing models, membership data, the mix of previously underwritten membership as compared to new members in plans compliant with the ACA, published third party studies and other publicly available data including regulatory plan filings. Highmark generally relies on providers to appropriately document all medical data, including the diagnosis data submitted with claims, as the basis for risk scores under the program.

Highmark records receivables or payables for the risk adjustment program as adjustments to premium revenue based on year-to-date experience when the amounts are reasonably estimable, and collection is reasonably assured. Final settlements are determined by CMS in the year following the policy year. Under the risk adjustment program, Highmark received net payments of \$129,475 in 2024 to settle the 2023 plan year and received net payments of \$80,557 in 2023 to settle the 2022 plan year.

The Corporation recorded a risk adjustment receivable of \$119,389 to insurance receivables and a payable of \$17,757 to other payables and accrued expenses in the Consolidated Balance Sheets for the year ended December 31, 2024. For the year ended December 31, 2023, the Corporation recorded a risk adjustment receivable of \$65,801 to insurance receivables and a payable of \$16,509 to other payables and accrued expenses in the Consolidated Balance Sheets.

Effective September 25, 2024, Highmark is no longer subject to a Community Health Reinvestment ("CHR") obligation, ordered by the Pennsylvania Insurance Department, which established an annual CHR commitment for Highmark based on Highmark's direct written health premiums. CHR includes funding, subsidization or provision of health care coverage for persons who are uninsured or unable to pay for coverage; health care services for persons who are uninsured and unable to pay for services; and programs for the prevention and treatment of disease or injury including mental health counseling or the promotion of health or wellness. Highmark met its minimum CHR obligation for 2023.

Highmark offers Medicare Advantage and Medicare Part D Prescription Drug Plan products under contracts with CMS which accounted for 22% and 21% of total premiums for the years ended December 31, 2024 and 2023, respectively.

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Participation in government sponsored health care programs subjects Highmark to a variety of federal laws and regulations and risks associated with audits conducted under these programs. These audits may occur in years subsequent to Highmark providing the relevant services under audit. These risks may include reimbursement claims as well as potential fines and penalties. With respect to Highmark's Medicare Advantage business, CMS regularly audits Highmark's performance to determine compliance with CMS's regulations and contracts with CMS and to assess the quality of services provided to Medicare Advantage beneficiaries. CMS uses various payment mechanisms to allocate and adjust premium payments to Highmark's Medicare Advantage plan by considering the applicable health status of Medicare Advantage members as supported by information prepared, maintained, and provided by health care providers. Highmark collects claim and encounter data from providers and generally rely on providers to appropriately code their submissions and document their medical records, including the diagnosis data submitted to Highmark with claims. CMS pays increased premiums to Medicare Advantage plans and prescription drug program plans for members who have certain medical conditions identified with specific diagnosis codes. Federal regulators review and audit the providers' medical records to determine whether those records support the related diagnosis codes that determine the members' health status and the resulting risk-adjusted premium payments to Highmark. In that regard, federal regulators have initiated contract-level risk adjustment data validation audits of certain plans within Highmark for certain periods to validate coding practices and supporting medical record documentation maintained by health care providers and the resulting risk adjusted premium payments to such plans. CMS may require Highmark to refund premium payments if Highmark's risk adjusted premiums are not properly supported by medical record data and are outside of acceptable error thresholds. On January 30, 2023, CMS issued a final rule on Risk Adjustment Data Validation (RADV) audits, which codifies CMS' intent to extrapolate findings beginning with Payment Year 2018 ("PY2018") audits. Extrapolation will not apply to RADV or U.S. Department of Health and Human Services, Office of Inspector General audits prior to PY2018. However, CMS's final RADV rule does not adopt a specific sampling, extrapolation, or audit methodology, as such, Highmark is unable to estimate the financial impact, if any, at this time.

4. Investments

The cost or amortized cost, gross unrealized gains and losses and fair value of investments in securities classified as available-for-sale at December 31, 2024 were as follows:

	Cost or Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Debt securities				
U.S. Treasury and agency obligations	\$ 2,266,601	\$ 722	\$ (209,536)	\$ 2,057,787
Agency mortgage-backed securities	1,439,023	3,202	(130,004)	1,312,221
State and political obligations	160,526	367	(21,171)	139,722
Mortgage-backed securities	332,241	757	(23,398)	309,600
Asset-backed securities	236,963	1,858	(4,358)	234,463
Corporate and other debt securities	2,349,287	31,864	(113,754)	2,267,397
Total	<u>\$ 6,784,641</u>	<u>\$ 38,770</u>	<u>\$ (502,221)</u>	<u>\$ 6,321,190</u>

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The cost or amortized cost, gross unrealized gains and losses and fair value of investments in securities classified as available-for-sale at December 31, 2023 were as follows:

	Cost or Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Debt securities				
U.S. Treasury and agency obligations	\$ 1,997,756	\$ 9,029	\$ (173,866)	\$ 1,832,919
Agency mortgage-backed securities	1,357,854	7,799	(112,448)	1,253,205
State and political obligations	220,393	1,622	(26,758)	195,257
Mortgage-backed securities	322,131	654	(38,756)	284,029
Asset-backed securities	129,458	528	(6,090)	123,896
Corporate and other debt securities	2,502,910	40,252	(140,998)	2,402,164
Total	<u>\$ 6,530,502</u>	<u>\$ 59,884</u>	<u>\$ (498,916)</u>	<u>\$ 6,091,470</u>

The gross unrealized losses and fair value of investments classified as available-for-sale securities by investment category and length of time an individual security was in a continuous unrealized loss position at December 31, 2024 were as follows:

	Less than 12 months		12 months or more		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
Debt securities						
U.S. Treasury and agency obligations	\$ 1,023,919	\$ (38,418)	\$ 918,178	\$ (171,118)	\$ 1,942,097	\$ (209,536)
Agency mortgage-backed securities	275,924	(7,731)	719,212	(122,273)	995,136	(130,004)
State and political obligations	8,444	(120)	109,686	(21,051)	118,130	(21,171)
Mortgage-backed securities	43,572	(2,536)	158,518	(20,862)	202,090	(23,398)
Asset-backed securities	23,710	(375)	33,980	(3,983)	57,690	(4,358)
Corporate and other debt securities	723,589	(29,924)	661,021	(83,830)	1,384,610	(113,754)
Total	<u>\$ 2,099,158</u>	<u>\$ (79,104)</u>	<u>\$ 2,600,595</u>	<u>\$ (423,117)</u>	<u>\$ 4,699,753</u>	<u>\$ (502,221)</u>

The gross unrealized losses and fair value of investments classified as available-for-sale securities by investment category and length of time an individual security was in a continuous unrealized loss position at December 31, 2023 were as follows:

	Less than 12 months		12 months or more		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
Debt securities						
U.S. Treasury and agency obligations	\$ 207,604	\$ (2,746)	\$ 1,263,116	\$ (171,120)	\$ 1,470,720	\$ (173,866)
Agency mortgage-backed securities	128,703	(2,387)	796,957	(110,061)	925,660	(112,448)
State and political obligations	2,884	(24)	153,823	(26,734)	156,707	(26,758)
Mortgage-backed securities	25,816	(4,830)	208,388	(33,926)	234,204	(38,756)
Asset-backed securities	14,970	(279)	72,067	(5,811)	87,037	(6,090)
Corporate and other debt securities	352,969	(21,074)	1,129,477	(119,924)	1,482,446	(140,998)
Total	<u>\$ 732,946</u>	<u>\$ (31,340)</u>	<u>\$ 3,623,828</u>	<u>\$ (467,576)</u>	<u>\$ 4,356,774</u>	<u>\$ (498,916)</u>

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At December 31, 2024 and 2023, the Corporation held available-for-sale debt securities with gross unrealized losses of \$502,221 and \$498,916, respectively. Gross unrealized losses from debt securities were present on 6,400 positions out of a total of approximately 8,900 debt positions at December 31, 2024. Management evaluated the unrealized losses and determined that they were due primarily to volatility in the interest rate environment and market conditions. The Corporation does not intend to sell the related debt securities, and it is not likely that the Corporation will be required to sell the debt securities before recovery of their amortized cost basis, which may be maturity. Therefore, management did not record any credit loss allowances for debt securities that were in an unrealized loss position as of December 31, 2024 and 2023.

The amortized cost and fair value of available-for-sale debt securities at December 31, 2024 are shown below by contractual maturity. Expected maturities could differ from contractual maturities as borrowers may have the right to call or prepay obligations with or without call or prepayment penalties.

	Amortized Cost	Fair Value
Due within one year or less	\$ 145,692	\$ 143,908
Due after one year through five years	2,137,107	2,074,165
Due after five years through ten years	1,396,006	1,325,740
Due after ten years	1,097,609	921,093
Mortgage and asset-backed securities	2,008,227	1,856,284
Total debt securities	<u>\$ 6,784,641</u>	<u>\$ 6,321,190</u>

Board designated, restricted and other investments by investment type at December 31, 2024 and 2023 consisted of the following:

	2024	2023
Cash and cash equivalents	\$ 72,800	\$ 81,044
Debt securities		
U.S. Treasury and agency obligations	66,930	87,296
Agency mortgage-backed securities	37,282	9,015
Asset and mortgage-backed securities	11,862	7,722
Corporate and other debt securities	43,662	49,333
Total debt securities	<u>159,736</u>	<u>153,366</u>
Equity securities		
Domestic	114,802	104,324
Foreign	79,316	77,497
Total equity securities	<u>194,118</u>	<u>181,821</u>
Beneficial interest in perpetual trusts	305,543	283,987
Common collective trust interests	10,976	10,129
Total board designated, restricted and other investments	<u>\$ 743,173</u>	<u>\$ 710,347</u>

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Board designated, restricted and other investments consist of the following components at December 31, 2024 and 2023:

	2024	2023
Without donor restrictions		
Other investments	\$ 272,392	\$ 266,422
Board designated		
Foundation	28,876	31,951
Other	7,529	7,529
Self-insurance reserves	3,009	2,963
Grant funds and other	23,828	29,256
Total without donor restrictions	335,634	338,121
With donor restrictions	407,539	372,226
Total board designated, restricted and other investments	\$ 743,173	\$ 710,347

The following is a summary of net investment income for the year ended December 31, 2024:

	Without Donor Restrictions	With Donor Restrictions
Interest and dividends, net	\$ 400,072	\$ 9,122
Net realized gains on investments	97,909	15,594
Net market value holding gains on equity securities	90,114	-
Net unrealized gains on board designated, restricted and other investments	9,368	14,595
Total net investment income	\$ 597,463	\$ 39,311

The following is a summary of net investment loss for the year ended December 31, 2023:

	Without Donor Restrictions	With Donor Restrictions
Interest and dividends, net	\$ 382,808	\$ 7,430
Net realized (loss) gains on investments	(60,607)	12,350
Net market value holding gains on equity securities	272,084	-
Net unrealized gains on board designated, restricted and other investments	24,527	21,447
Total net investment income	\$ 618,812	\$ 41,227

Net realized losses on investments without donor restrictions include \$2,510 in credit loss expense in 2024. Credit loss expense recognized in 2024 resulted from the decline of fair value due to credit related concerns. Securities with credits losses in 2024 included debt securities within the mortgage-backed, bank loan, utilities, and industrial product business sectors. The recognition of unrealized gains and losses on investments that are restricted as to use are recorded directly to net assets with donor restrictions as required by donor or regulation. These investments consist primarily of equity securities, agency mortgage-backed securities, corporate debt securities and U.S. Treasury obligations.

Certain investment partnership and trust vehicles of the Corporation have redemption restrictions relating to both timing and amounts of withdrawals. Generally, the amounts are available for withdrawal subject to a 30 days' notice requirement, with some trust vehicles subject to just seven-

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days' notice. At December 31, 2024 and 2023, these investments totaled \$416,255 and \$456,882, respectively.

Certain other private equity limited partnership interests of the Corporation have redemption restrictions relating to both timing and amounts of withdrawals. Distributions are received as the underlying investments generate income or are liquidated. The Corporation estimates that the underlying assets of certain other private equity limited partnership interests will be liquidated over the next ten to twelve years, and the Corporation assumes that the interests will be held until liquidation. At December 31, 2024 and 2023, these investments totaled \$545,454 and \$534,188, respectively.

The Corporation's mortgage loans are collateralized by commercial real estate. At December 31, 2024 and 2023, the carrying amounts of \$54,733 and \$60,848, respectively, were considered current. The Corporation assesses mortgage loans on a regular basis for credit quality, taking into consideration investment management agreements that detail investment objectives, guidelines, and restrictions. Loan quality is targeted at the NAIC rating category of CM2 upon origination, with a minimum quality rating of CM3. Loan-to-value ("LTV") ratios are also used to assess credit quality, with a targeted LTV of 60% or less, not to exceed 70%.

Based upon the most recent assessments at December 31, 2024 and 2023, the Company's mortgage loans were given the following credit quality indicators:

	2024			2023		
	Number of loans	Carry Value	Average LTV	Number of loans	Carry Value	Average LTV
Credit Rating						
CM2	3	\$ 17,381	42%	3	\$ 11,273	46%
CM3	4	\$ 37,352	60%	6	\$ 49,575	59%

The following is a summary of the remaining contractual maturity of securities lending transactions accounted for as secured borrowings as of December 31, 2024:

	Remaining Contractual Maturity of the Agreements				
	Overnight and Continuous	Up to 30 days	30-90 days	Greater than 90 days	Total
Securities Lending Transactions					
Asset backed fixed income securities	\$ -	\$ -	\$ -	\$ 831	\$ 831
International fixed income securities	-	-	-	4,250	4,250
Certificate of Deposits	-	14,535	50,050	109,221	173,806
Commercial Paper	-	24,300	65,348	124,752	214,400
Other	87	140,687	22,000	6,300	169,074
Total borrowings	\$ 87	\$ 179,522	\$ 137,398	\$ 245,354	\$ 562,361

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The following is a summary of the remaining contractual maturity of securities lending transactions accounted for as secured borrowings as of December 31, 2023:

	Remaining Contractual Maturity of the Agreements				
	Overnight and Continuous	Up to 30 days	30-90 days	Greater than 90 days	Total
Securities Lending Transactions					
Corporate fixed income securities	\$ -	\$ -	\$ -	\$ 3,800	\$ 3,800
Certificate of Deposits	-	18,100	53,327	102,977	174,404
Commercial Paper	-	4,925	12,111	132,980	150,016
Other	(144)	163,706	-	3,100	166,662
Total borrowings	\$ (144)	\$ 186,731	\$ 65,438	\$ 242,857	\$ 494,882

The Corporation is required to maintain investments on deposit with state departments of insurance or other regulatory bodies. At December 31, 2024 and 2023 investments on deposit with regulatory bodies were \$23,965 and \$23,690, respectively, primarily included within debt securities, available-for-sale at fair value in the Consolidated Balance Sheets.

5. Fair Value of Financial Instruments

Input levels, as defined by FASB, are as follows:

Level 1: Pricing inputs are based on unadjusted quoted market prices for identical financial assets or liabilities in active markets. Active markets are those in which transactions occur with sufficient frequency and volume to provide pricing information on an ongoing basis.

Level 2: Pricing inputs include observable inputs other than Level 1 pricing inputs, such as quoted prices in active markets for similar assets or liabilities, quoted prices for identical or similar assets or liabilities in markets that are not active, or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3: Pricing inputs include unobservable inputs that are supported by little or no market activity and that reflect management's best estimate of what market participants would use in pricing the asset or liability at the measurement date.

Certain investments without readily determinable fair values measure fair value on the basis of the net asset value per share (or equivalent) without any additional adjustments are excluded from fair value leveling. The underlying assets of these investments are measured at fair value as of the reporting date. These investments, if sold, are probable of being sold at amounts equal to the net asset value per share. A summary of the nature of the investments using net asset value ("NAV") as a practical expedient to fair value can be found on the redemption table. Other includes investments valued using other than fair value measurements, such as amortized cost or equity method accounting.

The following methods and assumptions were used to determine the fair value of each class of the following assets and liabilities recorded at fair value in the Consolidated Balance Sheets:

Cash and cash equivalents: Cash is designated as Level 1. Cash equivalents include exempt and other money market mutual funds, commercial paper, discount notes, and securities with an original maturity of 3 months or less. The fair value of exempt and other money market mutual

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funds is based on publicly available NAV per share. The fair values of all other cash equivalents are obtained from a third-party pricing service that primarily uses Level 1 or Level 2 inputs. They are designated as Level 1 or Level 2, depending on the inputs, structure, and the extent of credit-related features.

Debt securities, available-for-sale: Fair values of available-for-sale debt securities are based on quoted market prices, where available. These fair values are obtained primarily from a third-party pricing service, which generally use Level 1 or Level 2 inputs, for the determination of fair value to facilitate fair value measurements and disclosures. U.S. Treasury securities generally are designated Level 1 securities, while Level 2 securities generally include corporate securities, state and political obligations, mortgage-backed securities, asset-backed securities, and private debt. Level 2 inputs that are often used in the valuation methodologies include, but are not limited to, broker quotes, benchmark yields, credit spreads, default rates, prepayment speeds, and discounted cash flow models that use observable inputs. The Corporation has certain bank loans, corporate and other debt securities, which are designated as Level 3 securities. For these securities, the valuation methodologies may incorporate broker quotes or assumptions for benchmark yields, credit spreads, default rates and prepayment speeds that are not observable in the markets.

Equity securities: Fair values of equity securities are generally designated as Level 1 and are based on quoted market prices for identical assets in active markets. The Corporation also has certain private equity securities that do not have readily determinable fair values and are carried at cost or equity method and are excluded from the fair value hierarchy. Certain limited liability company investments that operate similar to mutual funds, are classified as common stock and are valued at NAV as a practical expedient to fair value.

Board designated, restricted and other investments: Board designated, investments with donor restrictions include cash equivalents, debt securities and equity securities that follow the same methods and assumptions and fair value designations described above. The fair value for endowments managed by donor selected trustees are designated as Level 3 securities with the interest in these trusts based on the fair value of the underlying trust investments, which approximates the present value of the expected future cash flows for which the Corporation is an income beneficiary. Certain board designated, restricted and other investments are valued at NAV as a practical expedient to fair value.

Beneficial interest in participating trusts: Donor-restricted net assets consist of amounts held in perpetuity as designated by donors, including the Corporation's portion of beneficial interests in several endowments managed by donor-selected trustees. The fair value for endowments managed by donor-selected trustees are designated as Level 3 securities with the interest in these trusts based on the fair value of the underlying trust investments.

Other Investments: Fair values of real estate trusts use NAV as practical expedient to fair value and are approximated based on trustee estimates. Limited partnerships and limited liability companies use NAV as practical expedient to fair value and are based on the estimated fair values from the financial statements obtained from the investment vehicle.

Mortgage Loans: Mortgage loans are carried at fair value on a non-recurring basis. Fair values of mortgage loans are obtained from a third-party pricing service, whose valuation is based on the present value of expected future cash flows discounted at the appropriate SOFR rate, plus an appropriate credit spread. Mortgage loans are designated as Level 3, while loans carried at cost are excluded from the fair value hierarchy.

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Securities lending invested collateral: Fair values of securities lending collateral are based on quoted market prices, where available. These fair values are obtained primarily from third party pricing services, which generally use Level 1 or Level 2 inputs for the determination of fair value to facilitate fair value measurements and disclosures.

The Corporation uses a third-party pricing service to obtain quoted prices for each security. The third-party service provides pricing based on recent trades of the specific security or like securities, as well as a variety of valuation methodologies for those securities where an observable market price may not exist. The third-party service may derive pricing for Level 2 securities from market corroborated pricing, matrix pricing, discounted cash flow analyses and inputs such as yield curves and indices. Pricing for Level 3 securities may be obtained from investment managers for private placements or derived from discounted cash flows, or ratio analysis and price comparisons of similar companies. Securities that use NAV as a practical expedient to fair value carry underlying investments that, if sold, are probable to being sold at amounts equal to the NAV per share.

The Corporation performs an analysis of reasonableness of the prices received for fair value by monitoring month-to-month fluctuations and determining reasons for significant differences, selectively testing fair values against prices obtained from other sources and comparing the consolidated fair value of a class of assets against an appropriate index benchmark. The Corporation did not make adjustments to the quoted market prices obtained from third party pricing services that were material to the Consolidated Financial Statements.

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The following table summarizes fair value measurements by level at December 31, 2024 for financial assets measured at fair value on a recurring basis:

	Total	Fair Value Measurements Using			Net Asset Value	Other
		Level 1	Level 2	Level 3		
Assets						
Cash and cash equivalents	\$ 1,407,585	\$ 1,407,585	\$ -	\$ -	\$ -	\$ -
Investments						
Debt securities, available-for-sale						
U.S. treasury and agency obligations	2,057,787	1,944,567	113,220	-	-	-
Agency mortgage-backed securities	1,312,221	-	1,312,221	-	-	-
State and political obligations	139,722	-	139,722	-	-	-
Mortgage-backed securities	309,600	-	309,600	-	-	-
Asset-backed securities	234,463	-	234,463	-	-	-
Corporate and other debt securities	2,267,397	-	2,063,952	202,696	-	749
Total debt securities	6,321,190	1,944,567	4,173,178	202,696	-	749
Equity securities						
Domestic	1,167,317	1,151,891	-	15,426	-	-
Foreign	652,686	652,686	-	-	-	-
Equity securities other than fair value	434,061	-	-	-	400,826	33,235
Total equity securities	2,254,064	1,804,577	-	15,426	400,826	33,235
Board designated, restricted and other investments						
Cash and cash equivalents	72,800	72,800	-	-	-	-
Debt securities						
U.S. Treasury and agency obligations	66,930	62,558	4,372	-	-	-
Agency mortgage-backed securities	37,282	-	37,282	-	-	-
State and political obligations	1,808	-	1,808	-	-	-
Mortgage-backed securities	449	-	449	-	-	-
Asset-backed securities	11,413	-	11,413	-	-	-
Corporate and other debt securities	41,854	-	41,854	-	-	-
Equity securities						
Domestic	114,802	114,802	-	-	-	-
Foreign	79,316	79,316	-	-	-	-
Beneficial interest in perpetual trusts	305,543	-	-	305,543	-	-
Common collective trust interests other than fair value	10,976	-	-	-	10,976	-
Total board designated, restricted and other investments	743,173	329,476	97,178	305,543	10,976	-
Other investments						
Mortgage loans	54,733	-	-	54,733	-	-
Other investments other than fair value	560,881	-	-	-	559,882	999
Total other investments	615,614	-	-	54,733	559,882	999
457(b) assets	72,429	72,429	-	-	-	-
Securities lending invested collateral	562,868	-	562,868	-	-	-
Total assets	\$ 11,976,923	\$ 5,558,634	\$ 4,833,224	\$ 578,398	\$ 971,684	\$ 34,983

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The following table summarizes fair value measurements by level at December 31, 2023 for financial assets measured at fair value on a recurring basis:

	Total	Fair Value Measurements Using			Net Asset Value	Other
		Level 1	Level 2	Level 3		
Assets						
Cash and cash equivalents	\$ 1,130,309	\$ 1,130,309	\$ -	\$ -	\$ -	\$ -
Investments						
Debt securities, available-for-sale						
U.S. treasury and agency obligations	1,832,919	1,649,854	183,065	-	-	-
Agency mortgage-backed securities	1,253,205	-	1,253,205	-	-	-
State and political obligations	195,257	-	195,257	-	-	-
Mortgage-backed securities	284,029	-	284,029	-	-	-
Asset-backed securities	123,896	-	123,896	-	-	-
Corporate and other debt securities	2,402,164	-	2,195,519	205,895	-	750
Total debt securities	6,091,470	1,649,854	4,234,971	205,895	-	750
Equity securities						
Domestic	1,141,267	1,129,094	-	12,173	-	-
Foreign	704,711	704,711	-	-	-	-
Equity securities other than fair value	472,881	-	-	-	442,013	30,868
Total equity securities	2,318,859	1,833,805	-	12,173	442,013	30,868
Board designated, restricted and other investments						
Cash and cash equivalents	81,044	81,044	-	-	-	-
Debt securities						
U.S. Treasury and agency obligations	87,296	82,579	4,717	-	-	-
Agency mortgage-backed securities	9,015	-	9,015	-	-	-
State and political obligations	2,381	-	2,381	-	-	-
Mortgage-backed securities	563	-	563	-	-	-
Asset-backed securities	7,159	-	7,159	-	-	-
Corporate and other debt securities	46,952	-	46,952	-	-	-
Equity securities						
Domestic	102,585	102,585	-	-	-	-
Foreign	77,497	77,497	-	-	-	-
Equity securities other than fair value	1,739	-	-	-	-	1,739
Beneficial interest in perpetual trusts	283,987	-	-	283,987	-	-
Common collective trust interests other than fair value	10,129	-	-	-	10,129	-
Total board designated, restricted and other investments	710,347	343,705	70,787	283,987	10,129	1,739
Other investments						
Mortgage loans	60,848	-	-	60,848	-	-
Other investments other than fair value	549,058	-	-	-	549,058	-
Total other investments	609,906	-	-	60,848	549,058	-
457(b) assets	61,800	61,800	-	-	-	-
Securities lending invested collateral	495,227	-	495,227	-	-	-
Total assets	\$ 11,417,918	\$ 5,019,473	\$ 4,800,985	\$ 562,903	\$ 1,001,200	\$ 33,357

The following table summarizes the nature of the funds valued based on net asset value as a practical expedient for fair value as of December 31, 2024:

	Fair Value	Unfunded Commitments	Redemption Frequency (if currently eligible)	Redemption Notice Period
Equity securities	\$ 400,826	\$ -	Daily, Quarterly, Monthly	1-60 Days
Common collective trust interests	10,976	-		
Real estate investment trust	15,428	-		
Private limited partnerships	544,454	174,207		
Total	\$ 971,684	\$ 174,207		

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The following table summarizes the nature of the funds valued based on net asset value as a practical expedient for fair value as of December 31, 2023:

	Fair Value	Unfunded Commitments	Redemption Frequency (if currently eligible)	Redemption Notice Period
Equity securities	\$ 442,013	\$ -	Daily, Quarterly, Monthly	1-60 Days
Common collective trust interests	10,129	-		
Real estate investment trust	14,869	-		
Private limited partnerships	534,189	174,966		
Total	<u>\$ 1,001,200</u>	<u>\$ 174,966</u>		

Fair Value Option

The Corporation elected the fair value option for its AHN held unrestricted investments, with the exception of the securities held by Palladium Risk Retention Group Inc., AHN's captive insurance company. At December 31, 2024 and 2023, AHN reported unrestricted investments of \$335,634 and \$338,121 respectively under the fair value option within the Board designated, restricted and other investments at fair value on the Consolidated Balance Sheets. All unrealized gains and losses on investments which are measured using the fair value option election are recognized in net investment income, including net realized gains on investments on the Consolidated Statements of Operations. AHN has recorded unrealized gains of \$9,257 and \$24,320 for the years ended December 31, 2024 and 2023, respectively.

6. Investments in Affiliates

The Corporation has ownership interests in various ventures which were formed to reduce the costs and increase effectiveness in providing community service benefits. These include ventures which provide laboratory, ambulance, oncology, and other services and are accounted for under the equity method of accounting. The accompanying Consolidated Balance Sheets reflect equity interests as follows for December 31:

	2024		2023	
	Ownership Interest	Investment Balance	Ownership Interest	Investment Balance
Penn State Health	20.0%	\$ 282,840	20.0%	\$ 263,087
AHN-LECOM JV, LLC	50.0%	8,700	50.0%	8,459
EmergyCare, Inc.	50.0%	6,309	50.0%	4,725
AHN Emergency Medicine Management, LLC	50.0%	4,461	50.0%	3,686
AST Risk, LLC	33.3%	3,088	33.3%	2,936
Evio Pharmacy Solutions, LLC (a)	20.0%	2,785	20.0%	1,071
Vantage Holding Company	52.3%	2,585	52.3%	5,591
Associated Clinical Labs	12.3%	1,671	12.3%	7,349
Geisinger-HM Joint Venture, LLC	0.0%	-	40.0%	-
Other (b)	various	9,803	various	9,502
		<u>\$ 322,242</u>		<u>\$ 306,406</u>

(a) Evio Pharmacy Solutions, LLC was formerly known as Kent Pharmacy Newco, LLC

(b) Consists of various individually immaterial investments of varying ownership interests (ranging from 0.5% to 50%)

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In December 2019, Highmark Inc. entered into a charitable contribution agreement in the amount of \$25,000 to the Caring Foundation, a nonprofit affiliate of the Corporation, to be paid in annual installments of \$5,000 through 2024. The funds are to be used to promote the health and well-being of the communities served by the Caring Foundation. As of December 31, 2023, the Corporation had a liability of \$5,000 remaining under the contribution agreement, which was included in other payables and accrued expenses in the Consolidated Balance Sheets. The outstanding liability was paid in full as of December 31, 2024. In December 2020, Highmark Inc. entered into a charitable contribution agreement with the Highmark Foundation, a nonprofit affiliate of the Corporation, in the amount of \$100,000, to be paid in annual installments of \$10,000 through 2030. The funds are to be used to promote the health and well-being of the communities served by the Highmark Foundation. As of December 31, 2024 and 2023, the Corporation had a liability of \$51,910 and \$60,626 respectively remaining under the contribution agreement, which is included in other payables and accrued expenses in the Consolidated Balance Sheets. In June 2022, Highmark Inc. agreed to an additional charitable contribution of \$15,000 to the Highmark Foundation, to be paid in annual installments of \$5,000 through 2024. As of December 31, 2023, the Corporation had a liability of \$5,000 remaining under the contribution agreement, which was included in other payables and accrued expenses in the Consolidated Balance Sheets. The outstanding liability was paid in full as of December 31, 2024.

7. Property and Equipment, Net

Property and equipment, net at December 31, 2024 and 2023 was comprised of the following:

	2024	2023
Land, buildings and leasehold improvements	\$ 2,557,260	\$ 2,474,835
Office furniture and equipment	1,793,215	1,742,684
Capitalized software	1,441,958	1,416,923
Construction in progress	485,214	382,184
	<u>6,277,647</u>	<u>6,016,626</u>
Less accumulated depreciation and amortization	<u>(3,563,514)</u>	<u>(3,269,526)</u>
Property and equipment, net	<u>\$ 2,714,133</u>	<u>\$ 2,747,100</u>

Depreciation and amortization expense related to property and equipment amounted to \$418,340 and \$412,436 for 2024 and 2023, respectively.

8. Goodwill and Other Intangible Assets, Net

Goodwill represents the excess of the cost over the fair value of acquired identifiable tangible and intangible assets and liabilities assumed from businesses acquired.

Goodwill is tested for impairment at the reporting unit level annually and whenever events or circumstances indicate the carrying value may not be recoverable. The evaluation of goodwill impairment involves using either a qualitative or quantitative approach. The impairment charge represents the excess of the book value of the subsidiary over the fair value. No impairment charges were recorded in 2024 or 2023.

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The changes in the carrying amount of goodwill for the years ended December 31, 2024 and 2023 are as follows:

	Gross Goodwill	Impairment Losses	Net Carrying Amount
Balance at January 1, 2023	\$ 632,698	\$ (325,877)	\$ 306,821
Balance at December 31, 2023	632,698	(325,877)	306,821
Balance at December 31, 2024	<u>\$ 632,698</u>	<u>\$ (325,877)</u>	<u>\$ 306,821</u>

The gross carrying amount of intangible assets and accumulated amortization at December 31, 2024 is as follows:

	Gross Carrying Amount	Accumulated Amortization	Impairment	Net Carrying Amount
Customer relationships	\$ 150,341	\$ (86,023)	\$ (15,815)	\$ 48,503
Provider contracts	16,700	(16,700)	-	-
Non compete agreements	14,838	(14,838)	-	-
Patient records	10,499	(7,951)	-	2,548
Naming rights	42,500	(292)	-	42,208
Other	54,259	(36,257)	(10,554)	7,448
Total	<u>\$ 289,137</u>	<u>\$ (162,061)</u>	<u>\$ (26,369)</u>	<u>\$ 100,707</u>

The gross carrying amount of intangible assets and accumulated amortization at December 31, 2023 is as follows:

	Gross Carrying Amount	Accumulated Amortization	Impairment	Net Carrying Amount
Customer relationships	\$ 150,341	\$ (71,461)	\$ (15,815)	\$ 63,065
Provider contracts	16,700	(12,990)	-	3,710
Non compete agreements	14,838	(12,438)	-	2,400
Patient records	10,499	(7,585)	-	2,914
Other	54,259	(35,076)	(10,554)	8,629
Total	<u>\$ 246,637</u>	<u>\$ (139,550)</u>	<u>\$ (26,369)</u>	<u>\$ 80,718</u>

Amortization expense related to intangible assets was \$22,511 and \$30,533 in 2024 and 2023, respectively.

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At December 31, 2024, estimated future amortization expense for the intangible assets, excluding insurance licenses with indefinite lives of \$3,915, was as follows:

Years ending December 31,	
2025	\$ 9,554
2026	9,036
2027	9,328
2028	9,303
2029	9,272
Thereafter	50,299
Total	<u>\$ 96,792</u>

9. Claims and Claim Adjustment Expenses Outstanding

The Corporation's insurance business has three business segments, which are referred to as Commercial business, Government business and Diversified business. The Commercial business segment is a combination of fully-insured business and self-funded business. The Government business includes fully-insured health business such as Medicare products, Medicaid products, pre-65 individual including ACA products and Small Group products. The Diversified business includes Dental and Stop-loss insurance product offerings.

A reconciliation of the beginning and ending balance for claims and claim adjustment expenses outstanding, by segment, for the year ended December 31, 2024 is as follows:

	Commercial	Government	Diversified	Total
Claims and claim adjustment expenses outstanding, beginning of year	\$ 2,116,026	\$ 1,297,676	\$ 554,027	\$ 3,967,729
Provider advances, beginning of year	54,532	(173)	-	54,359
Reinsurance recoverables, beginning of year	(61,353)	(85,968)	(120,368)	(267,689)
Non-risk claim liabilities, beginning of year	(1,647,441)	-	(40,704)	(1,688,145)
Net balance, beginning of year	<u>461,764</u>	<u>1,211,535</u>	<u>392,955</u>	<u>2,066,254</u>
Net incurred claims				
Current year	5,955,031	12,440,165	2,310,423	20,705,619
Prior year	13,932	(88,455)	7,784	(66,739)
Total net incurred claims	<u>5,968,963</u>	<u>12,351,710</u>	<u>2,318,207</u>	<u>20,638,880</u>
Net payments attributable to:				
Current year	(5,348,777)	(11,111,845)	(1,945,230)	(18,405,852)
Prior year	(452,425)	(981,436)	(324,847)	(1,758,708)
Total net payments	<u>(5,801,202)</u>	<u>(12,093,281)</u>	<u>(2,270,077)</u>	<u>(20,164,560)</u>
Net claims payable, end of year	629,525	1,469,964	441,085	2,540,574
Provider advances, end of year	(63,854)	(73)	-	(63,927)
Reinsurance recoverables, end of year	57,805	112,334	16,384	186,523
Non-risk claim liabilities, end of year	1,933,572	-	51,226	1,984,798
Claims and claim adjustment expenses outstanding, end of year	<u>\$ 2,557,048</u>	<u>\$ 1,582,225</u>	<u>\$ 508,695</u>	<u>\$ 4,647,968</u>

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A reconciliation of the beginning and ending balance for claims and claim adjustment expenses outstanding, by segment, for the year ended December 31, 2023 is as follows:

	Commercial	Government	Diversified	Total
Claims and claim adjustment expenses outstanding, beginning of year	\$ 2,060,814	\$ 1,318,354	\$ 550,425	\$ 3,929,593
Provider advances, beginning of year	55,200	1,821	-	57,021
Reinsurance recoverables, beginning of year	(54,347)	(80,691)	(135,346)	(270,384)
Non-risk claim liabilities, beginning of year	(1,575,962)	-	(38,012)	(1,613,974)
Net balance, beginning of year	485,705	1,239,484	377,067	2,102,256
Net incurred claims				
Current year	5,376,224	11,310,421	2,136,900	18,823,545
Prior year	(44,361)	(97,263)	(53,381)	(195,005)
Total net incurred claims	5,331,863	11,213,158	2,083,519	18,628,540
Net payments attributable to:				
Current year	(4,935,238)	(10,234,120)	(1,790,232)	(16,959,590)
Prior year	(420,566)	(1,006,987)	(277,399)	(1,704,952)
Total net payments	(5,355,804)	(11,241,107)	(2,067,631)	(18,664,542)
Net claims payable, end of year	461,764	1,211,535	392,955	2,066,254
Provider advances, end of year	(54,532)	173	-	(54,359)
Reinsurance recoverables, end of year	61,353	85,968	120,368	267,689
Non-risk claim liabilities, end of year	1,647,441	-	40,704	1,688,145
Claims and claim adjustment expenses outstanding, end of year	\$ 2,116,026	\$ 1,297,676	\$ 554,027	\$ 3,967,729

Amounts incurred related to prior years vary from previously estimated liabilities as the claims ultimately are settled. Negative amounts reported for incurred related to prior years result from claims being ultimately settled for amounts less than originally estimated (favorable development), which has been driven by continued volatilities in utilization levels influenced by current market trends and conditions within the industry.

The cumulative number of reported claims for each claim year for each segment has been developed using historical data captured by our enterprise claim payment systems.

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Incurred and paid claims development, net of reinsurance, for the Commercial Business for the years ended December 31, 2021 through 2024 is as follows:

					As of December 31, 2024	
<i>Commercial</i>	Cumulative Incurred Claims and Allocated Claim Adjustment Expenses, Net of Reinsurance				Total of Incurred-but-Not-Reported Liabilities Plus Expected Development on Reported Claims	Cumulative Number of Reported Claims
	2021	2022	2023	2024		
Claim Year	(Unaudited)	(Unaudited)	(Unaudited)			
2021	\$ 4,905,543	\$ 4,740,831	\$ 4,755,432	\$ 4,762,727	\$ 755	20,803
2022		5,353,845	5,294,883	5,311,768	\$ 3,594	50,030
2023			5,376,224	5,365,976	\$ 19,683	48,766
2024				5,955,031	\$ 577,069	19,199
Total				<u>\$ 21,395,502</u>		
<i>Commercial</i>	Cumulative Paid Claims and Allocated Claim Adjustment Expenses, Net of Reinsurance					
	2021	2022	2023	2024		
Claim Year	(Unaudited)	(Unaudited)	(Unaudited)			
2021	\$ 4,601,244	\$ 4,726,613	\$ 4,746,645	\$ 4,757,684		
2022		4,882,358	5,282,892	5,309,233		
2023			4,935,238	5,350,283		
2024				5,348,777		
Total				<u>\$ 20,765,977</u>		

Incurred and paid claims development, net of reinsurance, for the Government Business as of and for the years ended December 31, 2021 through 2024 is as follows:

					As of December 31, 2024	
<i>Government</i>	Cumulative Incurred Claims and Allocated Claim Adjustment Expenses, Net of Reinsurance				Total of Incurred-but-Not-Reported Liabilities Plus Expected Development on Reported Claims	Cumulative Number of Reported Claims
	2021	2022	2023	2024		
Claim Year	(Unaudited)	(Unaudited)	(Unaudited)			
2021	\$ 8,008,436	\$ 8,127,886	\$ 8,146,654	\$ 8,161,019	\$ 1,139	24,355
2022		10,574,658	10,458,627	10,492,585	\$ 17,126	46,622
2023			11,310,421	11,173,643	\$ 59,054	36,801
2024				12,440,165	\$ 1,010,194	33,866
Total				<u>\$ 42,267,412</u>		
<i>Government</i>	Cumulative Paid Claims and Allocated Claim Adjustment Expenses, Net of Reinsurance					
	2021	2022	2023	2024		
Claim Year	(Unaudited)	(Unaudited)	(Unaudited)			
2021	\$ 7,450,895	\$ 7,995,361	\$ 8,131,257	\$ 8,147,567		
2022		9,467,699	10,338,790	10,490,582		
2023			10,234,120	11,047,454		
2024				11,111,845		
Total				<u>\$ 40,797,448</u>		

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Incurred and paid claims development, net of reinsurance, for the Diversified Business as of and for the years ended December 31, 2021 through 2024 is as follows:

<i>Diversified</i>	Cumulative Incurred Claims and Allocated Claim Adjustment Expenses, Net of Reinsurance				As of December 31, 2024	
					Total of Incurred-but-Not-Reported Liabilities Plus Expected Development on Reported Claims	Cumulative Number of Reported Claims
	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024		
Claim Year						
2021	\$ 1,877,441	\$ 1,783,961	\$ 1,778,706	\$ 1,779,720	\$ -	8,548
2022		1,997,214	1,949,088	1,936,674	\$ 356	8,341
2023			2,136,900	2,156,084	\$ 12,313	8,937
2024				2,310,423	\$ 405,598	8,122
Total				\$ 8,182,901		

<i>Diversified</i>	Cumulative Paid Claims and Allocated Claim Adjustment Expenses, Net of Reinsurance				As of December 31, 2024	
					Total of Incurred-but-Not-Reported Liabilities Plus Expected Development on Reported Claims	Cumulative Number of Reported Claims
	2021 (Unaudited)	2022 (Unaudited)	2023 (Unaudited)	2024		
Claim Year						
2021	\$ 1,585,997	\$ 1,760,004	\$ 1,769,396	\$ 1,769,685		
2022		1,644,104	1,912,111	1,912,112		
2023			1,790,232	2,114,789		
2024				1,945,230		
Total				\$ 7,741,816		

The reconciliation of the Commercial, Government, and Diversified Businesses incurred and paid claims development information, reflected in the tables above, to the consolidated ending balance for claims outstanding, as of December 31, 2024, is as follows:

	Commercial	Government	Diversified	Total
Cumulative incurred claims and allocated claim adjustment expenses, net of reinsurance	\$ 21,395,502	\$ 42,267,412	\$ 8,182,901	\$ 71,845,815
Less: cumulative paid claims and allocated claim adjustment expenses, net of reinsurance	20,765,977	40,797,448	7,741,816	69,305,241
Net claims payable, end of year	\$ 629,525	\$ 1,469,964	\$ 441,085	\$ 2,540,574

10. Employee Benefit Plans

The Corporation covers certain employees meeting age and service requirements through a non-contributory defined benefit pension plan (the "pension plan") comprised of four legacy plans; the Highmark Retirement Plan, the Retirement Plan for Eligible Employees of the West Penn Allegheny Health System, the Jefferson Retirement Plan, and the Saint Vincent Health System Pension Plan. The pension plan provides participants with a frozen legacy benefit as well as a cash-balance account consisting of pay credits, based on age and years of service, interest credits and limited transition credits. All plans were closed to new participants and froze benefit accruals prior to or as of December 31, 2020.

Highmark NY sponsors a defined benefit pension plan covering salaried and hourly employees (the "Highmark NY pension plan"). The Highmark NY pension plan was frozen to new entrants prior to the affiliation with Highmark.

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The Corporation and Highmark NY fund their pension plan according to the limits specified by the Employee Retirement Income Security Act of 1974 ("ERISA"), as amended. During 2025, the Corporation and Highmark NY do not expect to make a material contribution to their pension plans.

Highmark sponsors a defined benefit other postretirement plan; the Highmark Postretirement Welfare Benefits Plan (the "welfare plan"). The welfare plan provides various postretirement health and life insurance benefits to retirees of participating subsidiaries and affiliates. The welfare plan is frozen and closed to new employees. Highmark uses voluntary employees' beneficiary association ("VEBA") trusts to fund its welfare plan. Highmark does not expect to contribute to the VEBA trusts in 2025.

Highmark NY provides certain health care and life insurance benefits for retired and certain active employees (the "Highmark NY welfare plan"). Bargaining unit employees may become eligible for certain retirement benefits if they reach retirement age while working for Highmark NY. Effective April 1, 2006, new non-bargaining unit retirees no longer receive health care benefits. The Highmark NY welfare plan is unfunded.

The amounts recognized in the Consolidated Balance Sheets were as follows:

	Pension Benefits		Other Postretirement Benefits	
	2024	2023	2024	2023
Change in benefit obligations				
Benefit obligations at beginning of year	\$ 3,046,966	\$ 3,024,687	\$ 372,235	\$ 382,445
Service cost	11,496	12,449	454	255
Interest cost	141,574	144,538	16,307	17,632
Plan amendments	-	-	(569)	-
Participant contributions	-	-	5,849	3,837
Retiree buyout	(49,683)	-	-	-
Benefit payments	(221,136)	(195,465)	(34,701)	(34,657)
Actuarial (gain) loss	(111,462)	60,757	(23,115)	2,723
Benefit obligations at end of year	<u>\$ 2,817,755</u>	<u>\$ 3,046,966</u>	<u>\$ 336,460</u>	<u>\$ 372,235</u>
Change in plan assets				
Net plan assets at beginning of year	\$ 3,340,277	\$ 3,232,561	\$ 266,040	\$ 260,453
Actual return on plan assets	43,463	301,081	14,431	27,996
Participant contributions	-	-	5,849	3,837
Employer contributions	-	2,100	4,825	7,855
Retiree buyout	(49,683)	-	-	-
Benefit payments	(221,136)	(195,465)	(33,759)	(34,101)
Net plan assets at end of year	<u>\$ 3,112,921</u>	<u>\$ 3,340,277</u>	<u>\$ 257,386</u>	<u>\$ 266,040</u>
Amounts recognized in the consolidated balance sheets				
Benefit plan assets	\$ 509,417	\$ 482,424	\$ -	\$ -
Benefit plan liabilities	\$ (214,251)	\$ (189,113)	\$ (79,074)	\$ (106,195)
Amounts included in net assets without donor restrictions				
Prior service credit	\$ -	\$ -	\$ 10,320	\$ 11,809
Actuarial loss	(1,171,176)	(1,067,209)	(16,801)	(40,579)
Net amounts recognized	<u>\$ (1,171,176)</u>	<u>\$ (1,067,209)</u>	<u>\$ (6,481)</u>	<u>\$ (28,770)</u>

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The following table provides the components of net periodic benefit (income) cost for the years ended December 31, 2024 and 2023:

	Pension Benefits		Other Postretirement Benefits	
	2024	2023	2024	2023
Interest cost	\$ 141,574	\$ 144,538	\$ 16,307	\$ 17,632
Expected return on plan assets	(262,965)	(258,598)	(13,971)	(14,345)
Amortization of:				
Prior service credit	-	-	(2,058)	(2,058)
Actuarial loss (gain)	4,071	1,519	(195)	(600)
Net periodic benefit (income) cost	<u>\$ (117,320)</u>	<u>\$ (112,541)</u>	<u>\$ 83</u>	<u>\$ 629</u>

For pension benefits, the service cost was \$11,496, and \$12,449 for the years ended December 31, 2024 and 2023, respectively. For other postretirement benefits, the service cost was \$454 and \$255 for the years ended December 31, 2024 and 2023, respectively.

The Corporation's weighted-average assumptions related to the calculation of the pension benefit obligations and net periodic benefit cost for the pension and welfare plans are presented in the table below:

	Pension Benefits		Other Postretirement Benefits	
	2024	2023	2024	2023
Weighted-average assumptions				
Discount rate - benefit obligations	5.55%	4.98%	5.35%	4.82%
Discount rate - net periodic costs	4.98%	5.20%	4.82%	5.03%
Expected return on plan assets	7.01%	7.01%	5.00%	5.00%
Rate of compensation increase	4.10 - 7.00%	2.64 - 7.15%	N/A	N/A
Cash balance interest credit rate - benefit obligations	4.25%	4.00%	N/A	N/A
Cash balance interest credit rate - net periodic costs	4.00%	3.80%	N/A	N/A

The discount rate – benefit obligations and the discount rate – net periodic costs is developed based on corresponding spot rates as of the measurement date. The increase in discount rates in 2024 caused significant actuarial gains related to changes in the benefit obligations.

The expected return on pension plan assets is developed using inflation expectations, risk factors and input from actuaries to arrive at a long-term nominal expected return for each asset class. The nominal expected return for each asset class is then weighted based on the target asset allocation to develop the expected long-term rate of return on plan assets.

The expected return on welfare plan assets is developed based on historical returns and the future expectations for returns for each asset class as well as the asset allocation of the welfare plan assets.

For measurement purposes, at December 31, 2024, the assumed annual rate of increase in the per capita costs of covered health care benefits of the other postretirement benefits was 7.17% in 2024, gradually decreasing to 4.00% by the year 2049 and remaining at that level thereafter.

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Estimated benefit payments are expected as follows:

		Pension Benefits	Other Postretirement Benefits
2025	\$	328,000	\$ 34,300
2026	\$	224,000	\$ 36,100
2027	\$	229,000	\$ 36,100
2028	\$	229,000	\$ 36,100
2029	\$	227,000	\$ 36,000
2030-2034	\$	1,086,000	\$ 156,500

The pension plan investment strategy includes dynamic target allocations that change as the funded status changes, with the goal of reducing risk as funded status improves, with an overall investment strategy at the 100% funded level to achieve a mix of 70% of long-duration fixed income securities meant to hedge the benefit obligations, 26% of investments for long-term growth and 4% for near-term benefit payments with a diversification of asset types, fund strategies and fund managers. The target allocations for pension plan assets are approximately 72% fixed income securities, 16% equity securities, 8% alternative investments and 4% cash equivalents. Equity securities primarily include stock investments in U.S., developed and emerging market corporations. Fixed income securities primarily include bonds of domestic and foreign companies from diversified industries, domestic mortgage-backed securities, and bonds of U.S. and foreign governments and agencies. Alternative investments include investments in real estate and private equity funds that follow several different strategies.

The target asset allocation on a weighted-average basis for the Highmark NY pension plan's assets consist of approximately 20% growth assets (10% global equity, 9% fixed income, and 1% cash), with the remaining 80% representing immunizing fixed income assets.

For the welfare plan, the Corporation's overall investment strategy is to achieve a mix of 95% of investments for long-term growth and reduced funded status volatility, and 5% for near-term benefit payments with a diversification of asset types, fund strategies and fund managers. The target allocations for plan assets are 50% equity securities, 45% fixed income securities and 5% cash equivalents. Equity securities primarily include stock investments in U.S., developed and emerging market corporations. Fixed income securities primarily include bonds of domestic and foreign companies from diversified industries and bonds of U.S. and foreign governments and agencies.

The pension and welfare plans' overall investment strategies are determined by the plan's investment committees, investment advisors and plan administrators. Overall, the goals of the Corporation are to achieve sufficient diversification of asset types, fund strategies and fund managers in order to minimize volatility and maximize returns over the long term, while still having sufficient funds to pay those benefits due in the near term.

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The following table summarizes the fair value measurements by level at December 31, 2024:

	Total	Fair Value Measurements Using			Net Asset Value
		Level 1	Level 2	Level 3	
Pension plan assets					
Cash and cash equivalents	\$ 1,241	\$ 1,241	\$ -	\$ -	\$ -
Debt securities:					
U.S. Treasury and agency obligations	328,485	328,484	1	-	-
Agency mortgage-backed securities	35,261	-	35,261	-	-
State and political obligations	9,805	-	9,805	-	-
Commercial mortgage-backed securities	2,467	-	2,467	-	-
Asset-backed securities	11,702	-	11,702	-	-
Corporate debt securities	1,219,117	-	1,219,117	-	-
Other debt securities	226,373	-	226,373	-	-
Total debt securities	1,833,210	328,484	1,504,726	-	-
Equity securities:					
Domestic	70,142	68,581	1,411	150	-
Foreign	56,324	56,324	-	-	-
Total equity securities	126,466	124,905	1,411	150	-
Registered investment company shares	507,499	486,267	21,232	-	-
Private equity limited partnerships	548,521	-	-	-	548,521
Common collective trust interests	166,087	-	-	-	166,087
Total	\$ 3,183,024	\$ 940,897	\$ 1,527,369	\$ 150	\$ 714,608
Other postretirement plan assets					
U.S. Treasury and agency obligations	\$ 8,945	\$ 8,945	\$ -	\$ -	\$ -
Agency mortgage backed securities	33,055	-	33,055	-	-
Commercial mortgage backed securities	960	-	960	-	-
Asset backed securities	4,714	-	4,714	-	-
Corporate and other debt securities	36,076	-	36,076	-	-
Domestic equity securities	53,373	53,373	-	-	-
Foreign equity securities	3,047	3,047	-	-	-
Registered investment company shares	108,168	108,168	-	-	-
Common collective trust funds	8,247	-	-	-	8,247
Total	\$ 256,585	\$ 173,533	\$ 74,805	\$ -	\$ 8,247

At December 31, 2024, the fair value of pension plan assets excluded guaranteed insurance contract assets of \$1,484, carried at contract value, as well as accrued expenses and other payables of \$71,587.

At December 31, 2024, the fair value of welfare plan assets excluded accrued interest and other receivables of \$801.

The following table summarizes the nature of the funds valued based on net asset value as a practical expedient for fair value as of December 31, 2024:

Pension plan assets

	Fair Value	Unfunded Commitments	Redemption Frequency (if currently eligible)	Redemption Notice Period
Private equity limited partnerships	\$ 548,521	\$ 112,000	Quarterly, N/A	30 Days, N/A
Common collective trust funds	166,087	-	Daily, Monthly	1-15 Days
Total	\$ 714,608	\$ 112,000		

Other postretirement plan assets

	Fair Value	Unfunded Commitments	Redemption Frequency (if currently eligible)	Redemption Notice Period
Common collective trust funds	\$ 8,247	\$ -	Daily	1 Day
Total	\$ 8,247	\$ -		

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The following table summarizes the fair value measurements by level at December 31, 2023:

	Total	Fair Value Measurements Using			Net Asset Value
		Level 1	Level 2	Level 3	
Pension plan assets					
Cash and cash equivalents	\$ 137,838	\$ 137,838	\$ -	\$ -	\$ -
Debt securities:					
U.S. Treasury and agency obligations	444,097	444,095	2	-	-
Agency mortgage-backed securities	24,398	-	24,398	-	-
State and political obligations	13,640	-	13,640	-	-
Commercial mortgage-backed securities	141	-	141	-	-
Asset-backed securities	10,394	-	10,394	-	-
Corporate debt securities	1,178,105	-	1,178,012	93	-
Other debt securities	198,596	-	198,596	-	-
Total debt securities	1,869,371	444,095	1,425,183	93	-
Equity securities:					
Domestic	115,743	114,395	1,348	-	-
Foreign	62,528	62,528	-	-	-
Total equity securities	178,271	176,923	1,348	-	-
Registered investment company shares	421,970	400,145	21,825	-	-
Private equity limited partnerships	546,962	-	-	-	546,962
Common collective trust interests	205,775	-	-	-	205,775
Total	\$ 3,360,187	\$ 1,159,001	\$ 1,448,356	\$ 93	\$ 752,737
Other postretirement plan assets					
U.S. Treasury and agency obligations	\$ 10,665	\$ 10,665	\$ -	\$ -	\$ -
Agency mortgage backed securities	29,058	-	29,058	-	-
Commercial mortgage backed securities	600	-	600	-	-
Asset backed securities	5,411	-	5,411	-	-
Corporate and other debt securities	35,605	-	35,605	-	-
Domestic equity securities	53,269	53,269	-	-	-
Foreign equity securities	1,867	1,867	-	-	-
Registered investment company shares	120,793	120,793	-	-	-
Common collective trust funds	8,028	-	-	-	8,028
Total	\$ 265,296	\$ 186,594	\$ 70,674	\$ -	\$ 8,028

At December 31, 2023, the fair value of pension plan assets excluded guaranteed insurance contract assets of \$1,512, carried at contract value as well as accrued expenses and other payables of \$21,422.

At December 31, 2023, the fair value of welfare plan assets excluded accrued interest and other receivables of \$744.

The following table summarizes the nature of the funds valued based on net asset value as a practical expedient for fair value as of December 31, 2023:

Pension plan assets	Fair Value	Unfunded Commitments	Redemption Frequency (if currently eligible)	Redemption Notice Period
Private equity limited partnerships	\$ 546,962	\$ 155,000	Quarterly, N/A	30 Days, N/A
Common collective trust funds	205,775	-	Daily, Monthly	1-15 Days
Total	\$ 752,737	\$ 155,000		
Other postretirement plan assets				
Common collective trust funds	Fair Value	Unfunded Commitments	Redemption Frequency (if currently eligible)	Redemption Notice Period
Common collective trust funds	\$ 8,028	\$ -	Daily	1 Day
Total	\$ 8,028	\$ -		

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For the years ended December 31, 2024 and 2023, there were no significant changes in fair value for pension plan and other postretirement assets measured using significant unobservable inputs (Level 3).

The Corporation sponsors several defined contribution savings plans (the “savings plans”), covering substantially all of the Corporation’s employees and employees of certain participating affiliates. The savings plans allow participating employees to contribute a percentage of their annual salaries, subject to current Internal Revenue Service (“IRS”) limitations. Employee contributions are matched by the Corporation at various percentages. The Corporation recognized expense associated with its contributions to the savings plans of \$159,554 and \$147,613 for the years ended December 31, 2024 and 2023, respectively.

Highmark also sponsors a deferred compensation plan for certain eligible employees. Employee elective deferrals ceased effective January 1, 2021 for certain participating employees. The remaining participating employees may contribute an amount of their annual compensation to the plan. The deferred compensation plan pays interest on the deferrals at various rates and market gains and losses are applied to the participant accounts. Effective January 1, 2021, the deferred compensation plan no longer provides for matching contributions based on employee deferrals. Instead, it now provides for an annual discretionary employer liability to contribute to each participant’s account, which is based on salary and other factors. The Corporation incurred expense for the discretionary amounts of \$1,958 and \$2,232 in 2024 and 2023, respectively. Deferred compensation plan liabilities of \$55,621 and \$49,383 and were recorded in other payables and accrued expenses in the Consolidated Balance Sheets at December 31, 2024 and 2023, respectively. Changes in the liability are reported in salaries, wages and other operating expenses, net in the Consolidated Statements of Operations and Changes in Net Assets.

The Corporation also sponsors Internal Revenue Code 457(b) and 457(f) plans (the “457 plans”) for certain eligible employees. The 457 plans are nonqualified benefit plans that provide supplemental benefits to participants in the form of an annual discretionary employer liability credited to each participant’s account. The Corporation incurred expenses for the discretionary amounts to the 457 plans of \$3,236 and \$3,345 in 2024 and 2023, respectively. 457 plan liabilities of \$84,313 and \$71,577 were recorded in other payables and accrued expenses in the Consolidated Balance Sheets at December 31, 2024 and 2023, respectively. Changes in the liabilities are reported in salaries, wages and other operating expenses in the Consolidated Statements of Operations and Changes in Net Assets.

Highmark also sponsors an unfunded nonqualified supplemental retirement plan (the “nonqualified retirement plan”) covering certain eligible employees. The weighted-average assumptions used in the measurement of the nonqualified retirement plan liabilities were consistent with the assumptions used in the measurement of the pension plans and adjusted, when needed, for nonqualified plan specific characteristics. The nonqualified retirement plan liabilities recorded in other payables and accrued expenses in the Consolidated Balance Sheets at December 31, 2024 and 2023 were \$38,240 and \$39,184, respectively.

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11. Debt

The Corporation's total debt at December 31, 2024 and 2023 consisted of the following:

	2024	2023
Unsecured Senior Notes due May 10, 2026 (a)	\$ 398,837	\$ 398,023
Unsecured Senior Notes due May 10, 2031 (a)	397,527	397,143
Unsecured Senior Notes due May 15, 2041 (a)	238,684	238,485
Series 2018 Revenue Bonds	903,319	927,881
Revolving credit facilities	812,000	581,376
Mortgage and Other Loans	7,252	9,315
Total debt	<u>\$ 2,757,619</u>	<u>\$ 2,552,223</u>

(a) Net of unamortized discount and debt issuance costs

A summary of scheduled principal repayments on debt for the next five years and thereafter is as follows:

Years ending December 31,	
2025	839,177
2026	425,779
2027	27,352
2028	28,227
2029	28,659
Thereafter	<u>1,408,425</u>
Total	<u>\$ 2,757,619</u>

Unsecured Senior Notes

In May 2011, Highmark Inc. issued \$250,000 of unsecured Senior Notes due May 15, 2041 at an interest rate of 6.125% (the "2041 Notes"). In 2013, Highmark Inc. early extinguished \$9,124 of the 2041 notes. The unamortized discounts and issuance costs of the 2041 Notes, which are being amortized over the life of the notes, were \$2,192 and \$2,391 at December 31, 2024 and 2023, respectively.

In May 2021, Highmark Inc. completed an offering through a private placement of \$800,000 aggregate principal amount of Senior Unsecured Notes, which were issued in two tranches of \$400,000 at 1.450% and due on May 10, 2026 and \$400,000 at 2.550% and due on May 10, 2031 (collectively, the "2026 and 2031 Notes"). Interest on the 2026 and 2031 Notes are due semiannually in May and November. The 2026 and 2031 Notes were issued to qualified institutional buyers in reliance on Rule 144A under the Securities Act of 1933. The unamortized discounts of the 2026 and 2031 Notes, which are being amortized over the life of the notes under the effective interest method, were \$219 and \$336 at December 31, 2024 and 2023, respectively. The unamortized debt issuance costs were \$3,417 and \$4,498 at December 31, 2024 and 2023, respectively, which are being amortized under the straight-line method over the life of the 2026 and 2031 Notes.

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Series 2018 Revenue Bonds

In August 2018, AHN issued tax exempt revenue bonds with a par value of \$943,365 (Series 2018A) through the Allegheny County Hospital Development Authority ("ACHDA") at a premium of \$56,639 for total proceeds of \$1,000,004. The Series 2018 Revenue Bonds consist of both serial and term bonds scheduled to mature at various dates through April 2047. Interest rates are fixed and range from 4.00% to 5.00%. The unamortized premium was \$24,648 and \$28,785 at December 31, 2024 and 2023, respectively. The bonds are collateralized by the gross receivables and other property of AHN.

Revolving Credit Facilities and Lines of Credit

In July 2020, AHN entered into a three-year line of credit facility for \$50,000, with an option to extend the terms. Amounts borrowed bear interest at variable interest rates. In December 2023, the three-year facility was amended to address the LIBOR transition language and extended the expiration date to December 16, 2024. In December 2024, the three-year facility was amended to extend the expiration date to June 15, 2026. At December 31, 2024, \$20,000 of the \$50,000 three-year facility has been set aside for letters of credit, of which \$200 has been utilized, but not drawn upon. The three-year facility is collateralized by the gross receivables and other property of AHN. As of December 31, 2024 and 2023, there were no amounts outstanding on the line of credit.

In June 2021, Highmark Inc. entered into a \$500,000 revolving credit facility with five financial institutions. The revolving credit facility expires on June 7, 2027. Amounts borrowed under this facility bear interest at variable rates. There was \$420,000 and \$290,600 outstanding under this facility as of December 31, 2024 and 2023, respectively.

In June 2022, Highmark was approved as a member of the Federal Home Loan Bank ("FHLB") of Pittsburgh and purchased \$1,424 of class B membership stock. Under the Corporation's membership with the FHLB of Pittsburgh, the Corporation has determined the maximum borrowing capacity as \$300,000 per board of directors' consent. As of December 31, 2024, Highmark had outstanding debt borrowings of \$288,200 which bears interest at 4.7%, with collateral pledged of debt securities with an approximate fair value of \$327,702. As of December 31, 2023, Highmark had outstanding debt borrowings of \$229,276 which bears interest at 5.7%, with collateral pledged of debt securities with an approximate fair value of \$263,954.

In April 2023, Highmark WV was approved as a member of the FHLB of Pittsburgh and purchased \$344 of class B membership stock. Under the Corporation's membership with the FHLB of Pittsburgh, the Corporation has determined the maximum borrowing capacity as \$100,000 per board of directors' consent. As of December 31, 2024 and 2023 respectively, the Corporation had no outstanding debt borrowings.

In December 2023, Highmark DE was approved as a member of the FHLB of Pittsburgh and purchased \$202 of class B membership stock. Under the Corporation's membership with the FHLB of Pittsburgh, the Corporation has determined the maximum borrowing capacity as \$50,000 per board of directors' consent. As of December 31, 2024, Highmark DE had outstanding borrowings of \$7,500, which bears interest at 4.7% with collateral pledged of debt securities with an approximate fair value of \$48,673. As of December 31, 2023, the Corporation had no outstanding debt borrowings.

In October 2024, Highmark NY entered into a fourth amendment to their loan agreement for a revolving line of credit with a borrowing capacity not to exceed \$150,000, expiring October 2025. Borrowings under the line of credit accrue interest based on varying interest rate options selected by the borrower. The total outstanding balance under the line was \$96,300 and \$61,500 at December 31, 2024 and 2023, respectively.

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Several of the debt agreements referred to above contain covenants, including covenants relating to such matters as indebtedness, minimum net worth, and financial ratings. At December 31, 2024 and 2023, the Corporation was in compliance with all debt covenants.

12. Income Taxes

The components of the income tax provision for the years ended December 31, 2024 and 2023 were as follows:

	2024	2023
Federal		
Current	\$ 52,670	\$ (46,188)
Deferred	1,912	(13,205)
Total Federal	<u>54,582</u>	<u>(59,393)</u>
Foreign		
Current	(2,009)	4,467
State		
Current	5,468	907
Deferred	287	(238)
Total State	<u>5,755</u>	<u>669</u>
Total income tax provision	<u>\$ 58,328</u>	<u>\$ (54,257)</u>

A reconciliation of income tax expense recorded in the Consolidated Statements of Operations and amounts computed at the statutory federal rate for the years ended December 31, 2024 and 2023 was as follows:

	2024	2023
Income taxes at statutory rate	\$ 25,209	\$ 101,563
(Income)/loss from tax exempt entities	17,712	34,562
Nondeductible compensation	11,773	12,142
Change in valuation allowance	10,223	(16,522)
State taxes, net of federal tax benefit	4,719	529
IRC section 833(b) deduction, net	(1,727)	(165,361)
Dividend received deduction	(1,456)	(17,568)
Other	(8,125)	(3,602)
Total income tax provision	<u>\$ 58,328</u>	<u>\$ (54,257)</u>

The Inflation Reduction Act (the "Act") was enacted on August 16, 2022. The Act includes a new corporate alternative minimum tax ("CAMT") that went into effect for years beginning after 2022 and is imposed on applicable corporations that meet or exceed a certain adjusted financial statement income ("AFSI") threshold. Based on the pertinent authorities, the Corporation falls under the AFSI threshold and is therefore a nonapplicable reporting entity in 2023 and 2024. A nonapplicable reporting entity does not reasonably expect to be subject to the CAMT for the current reporting period and is not required to recognize a payable for the CAMT or further assess the impact of the CAMT on current or deferred tax computations.

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The components of deferred income taxes at December 31, 2024 and 2023 were as follows:

	2024	2023
Deferred tax assets		
Net operating loss carryforwards	\$ 156,081	\$ 114,600
Other payables and accrued expenses	113,476	128,901
Unrealized net holding losses (gains) on investments	54,072	49,978
Operating lease liabilities	44,563	43,865
Allowance for doubtful accounts	17,960	14,483
Charitable contribution carryforwards	17,316	9,164
Tax credit carryforwards	12,755	4,270
Discounting on unpaid losses	8,528	8,865
Premium deficiency reserves	2,295	2,288
Other	1,799	3,694
Total deferred tax assets	428,845	380,108
Less valuation allowance	(183,605)	(161,106)
Total deferred tax assets, net of valuation allowance	245,240	219,002
Deferred tax liabilities		
Benefit plan liabilities	78,424	67,213
Investment in partnerships/affiliates	52,001	40,834
Operating lease right-to-use asset	41,737	41,623
Prepaid expenses	6,773	6,823
Goodwill and other intangible assets	3,794	1,985
Total deferred tax liabilities	182,729	158,478
Deferred income taxes, net	\$ 62,511	\$ 60,524

In addition to the income tax provision, the deferred tax asset decreased by \$445 and \$1,633 in 2024 and 2023, respectively, primarily related to changes in benefit plan assets and liabilities. As these changes were recorded directly within net assets, they did not impact the income tax provision recorded in the Consolidated Statements of Operations.

The realization of net deferred tax assets is dependent on the Corporation's ability to identify sources of income, including sufficient taxable income of the appropriate character in periods eligible for loss carrybacks, as well as future periods. As a result, the amount of deferred tax assets considered realizable could change as loss carryback periods expire and if estimates of future taxable income change. Based on all available positive and negative evidence, including, but not limited to, scheduled reversals of deferred tax liabilities, loss carryback capacity, projected future taxable income, tax-planning strategies, and results of recent operations, the Corporation recorded a valuation allowance of \$183,605 and \$161,106 as of December 31, 2024 and 2023, respectively, against certain deferred tax assets that are not expected to be realized. The valuation allowance increase of \$16,133 in 2024 and decrease of \$55,265 in 2023 were recorded directly within net assets and did not impact the income tax provision recorded in the Consolidated Statements of Operations.

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The Corporation had gross carryforwards for years ended as of December 31 as outlined below:

	2024	2023	Expires Through
Federal NOL	\$ 662,040	\$ 445,600	2044
State NOL	393,902	448,491	2044
Tax Credits	12,755	4,270	2044
Charitable Contributions	82,446	43,755	2029
Balance at December 31	<u>\$ 1,151,143</u>	<u>\$ 942,116</u>	

These carryforwards expire in various amounts through the expiration period indicated above and are subject to certain taxable income limitations. Based on the Corporation's evaluation, a valuation allowance has been established against the portion of these deferred tax assets not expected to be utilized as of December 31, 2024.

The changes in the carrying amount of gross unrecognized tax benefits from uncertain tax positions in 2024 and 2023 were as follows:

	2024	2023
Balance at January 1	\$ 77,616	\$ 341,219
Additions for tax positions related to		
Current year	1,399	3,472
Prior years	704	11,066
Reductions to balance relating to		
Changes in tax positions of prior years	(939)	(21,788)
Statute of limitation expiration	(353)	(68,067)
Settlements	-	(188,286)
Balance at December 31	<u>\$ 78,427</u>	<u>\$ 77,616</u>

Of the unrecognized tax benefits in the table directly above, \$74,639 and \$74,196 would have impacted the effective tax rate if recognized for December 31, 2024 and 2023, respectively.

At December 31, 2024 and 2023, the Corporation has recorded accumulated interest and penalties payable associated with these unrecognized tax benefits of \$13,199 and \$8,188, respectively, netted in income tax recoverable in the Consolidated Balance Sheets. For the year ended December 31, 2024, the Corporation recorded \$5,011 in interest and penalties expense related to these tax contingencies in the Consolidated Statements of Operations. For the years ended December 31, 2023, the Corporation recorded a net benefit of \$26,442 primarily due to the release of previously accrued interest and penalties related to these tax contingencies in the Consolidated Statements of Operations.

Prior to January 1, 1987, Highmark Inc. was exempt from federal income taxes. With the enactment of the Tax Reform Act of 1986 (the "Act"), Highmark Inc., and all other Blue Cross and Blue Shield plans, became subject to federal income tax. Among other provisions of the Internal Revenue Code, these plans were granted a deduction under Code Section 833(b) (the "special deduction") for regular tax calculation purposes. The special deduction is calculated as the excess of 25% of incurred claims and claim adjustment expenses for the tax year over adjusted surplus, as defined, limited to taxable income. The amount of taxable income before the special deduction has the effect of increasing the adjusted surplus balance used in calculating the special deduction. Once the cumulative adjusted surplus balance exceeds 25% of incurred claims and claim adjustment expenses for the current

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taxable year, the deduction is eliminated. Little technical guidance has been issued by the taxing authorities regarding the special deduction and therefore some uncertainty exists in its calculation. In 2011, Highmark Inc. requested refunds of approximately \$185,000 (plus interest) for the 2004 through 2007 tax years related to the special deduction that were not received. On June 30, 2017, Highmark Inc. filed suit in the United States Court of Federal Claims requesting the refund. On August 11, 2022, the Court issued an opinion whereby it granted the government's partial motion for summary judgment and denied Highmark Inc.'s partial motion for summary judgment related to the determination of the special deduction amount. Management has determined that Highmark Inc. will not appeal the Court's decision and as a result has no longer recognized the refund receivable and released the related reserve as of December 31, 2023.

Highmark Inc. and the subsidiaries included in its consolidated return have been examined by the Internal Revenue Service ("IRS") through 2017. The statute of limitations ("SOL") remains open for its 2014 and 2016 tax years due to amended return filings for these years. The SOL is also open for its 2018, 2019, 2020 and 2021 tax years (until September 26, 2026) in accordance with an extension agreed to with the IRS, as well as for its remaining tax years for the three-year statutory limitation period on returns as originally filed. The remaining subsidiaries and affiliates are also open for examination for the three-year statutory limitation period.

13. Leases

The Corporation leases most of its corporate offices, transportation assets, physician offices and outpatient facilities under operating leases, typically with initial terms of five to twenty-five years. The Corporation also leases certain equipment and medical equipment and other assets under operating or finance leases, typically with initial terms of three to five years.

The components of lease expense for the years ended December 31, 2024 and 2023, respectively, were as follows:

	2024	2023
Finance lease expense		
Amortization of ROU assets	\$ 7,057	\$ 7,009
Interest on lease liabilities	3,069	3,225
Operating lease expense	92,999	101,706
Short-term/variable lease expense	8,631	7,664
Sublease income	(3,550)	(3,087)
Total lease cost	<u>\$ 108,206</u>	<u>\$ 116,517</u>

Supplemental cash flow information related to leases was as follows:

	2024	2023
Cash paid for amounts included in the measurement of lease liabilities		
Operating - Operating cash flows	\$ 95,166	\$ 96,688
Right-to-use asset obtained in the exchange for lease liabilities		
Finance leases	\$ -	\$ 109
Operating leases	\$ 58,441	\$ 59,958

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As of December 31, 2024 and 2023, respectively, the weighted-average remaining lease terms and the weighted-average discount rates were as follows:

	2024	2023
Weighted-average remaining lease terms (in years)		
Finance leases	11	12
Operating leases	8	8
Weighted-average discount rate		
Finance leases	5%	4%
Operating leases	3%	3%

Maturities of finance and operating lease liabilities as of December 31, 2024 were as follows:

	Finance	Operating
2025	\$ 9,385	\$ 90,569
2026	9,457	71,987
2027	9,521	58,671
2028	8,828	52,539
2029	6,529	34,614
Thereafter	50,905	120,048
Total	<u>94,625</u>	<u>428,428</u>
Less: Present value discount	(22,466)	(55,887)
Lease liabilities	<u>\$ 72,159</u>	<u>\$ 372,541</u>

14. Net Assets

Net assets without donor restrictions for the years ended December 31, 2024 and 2023 include:

	2024	2023
Undesignated	\$ 9,316,403	\$ 9,341,092
Undesignated - Noncontrolling interest	50,894	39,316
Board designated assets:		
Capital improvements	<u>28,876</u>	<u>31,952</u>
Total net assets without donor restrictions	<u>\$ 9,396,173</u>	<u>\$ 9,412,360</u>

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Nets assets with donor restrictions are restricted for the following purposes or periods for the years ended December 31, 2024 and 2023 include:

	2024	2023
Subject to expenditure for specific purpose:		
Capital improvements	\$ 1,107	\$ 1,577
Education and Scholarships	1,599	1,953
Research	9,327	5,955
Healthcare services	47,458	36,977
Total	<u>59,491</u>	<u>46,462</u>
Subject to the Corporations' policy and appropriation		
Investment in perpetuity, the income of which is expendable to support:		
Healthcare services	348,384	316,182
Total net assets with donor restrictions	<u>\$ 407,875</u>	<u>\$ 362,644</u>

15. Liquidity and Availability of Financial Assets

The Corporation's working capital and cash flows are subject to variability during the year attributable to variations in volume and cash receipts. To manage liquidity, the Corporation maintains unrestricted investments portfolios to manage fluctuations in cash flow.

The following table reflects the Corporation's financial assets reduced by amounts not available for general use within one year because of contractual or donor-imposed restrictions or internal designations. Amounts available include donor-restricted amounts that are available for general expenditures, such as operating expenses and principal payments on debt. Amounts not available include amounts set aside for operating and other reserves that could be drawn upon if the Board of Directors approves the action.

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The financial assets available to meet cash needs for general expenditures within one year at December 31, 2024 were as follows:

	2024
Cash and cash equivalents	\$ 1,407,585
Investments	10,256,283
Receivables	4,500,237
Total financial assets	<u>16,164,105</u>
Contractual or donor-imposed restrictions:	
Beneficial interests in perpetual trusts	(305,543)
Endowment funds	(101,996)
Equity method investments	(29,599)
Grant funds	(23,828)
Board designations:	
Capital improvements	<u>(28,876)</u>
Financial assets available to meet cash needs for general expenditures within one year	<u>\$ 15,674,263</u>

16. Contingencies

A number of class action lawsuits filed throughout the United States against various Blue Cross and/or Blue Shield plans (the "BCBS Plans"), including the Corporation, have been consolidated in a multi-district litigation in the U.S. District Court for the Northern District of Alabama under the caption In re: Blue Cross Blue Shield Antitrust Litigation. The lawsuits state that they were filed on behalf of (i) health care providers in the United States who have provided services to any patient insured by or who was a member or beneficiary of any BCBS Plan and/or (ii) members and subscribers of any BCBS Plan. The lawsuits primarily deal with alleged conspiracy and price fixing by and among the BCBS Plans and the Blue Cross Blue Shield Association ("BCBSA"), the competitive impact of exclusive service areas granted by BCBSA, and alleged contract provisions of the BCBS Plans. Plaintiffs generally seek a judgment that the defendants have violated Section 1 of the Sherman Act, an injunction prohibiting defendants from entering into agreements that restrict the territories in which any BCBS Plan may compete, and an award of treble damages. The District Court has found that the exclusive service areas licensed to the BCBS Plans in conjunction with the national "best efforts" requirements and other applicable BCBSA rules constitute per se violations of federal antitrust laws and that the "Blue Card" system providing for the BCBS Plans' payment of out-of-area claims would be subject to a rule of reason analysis. On August 9, 2022, the Court entered a final order approving the subscriber class settlement and the remaining monetary obligations of the settlement were subsequently paid into escrow with the settlement administrator pending resolution of appeals. Four such appeals of the final approval order have been filed. On June 24, 2024, the U.S. Supreme Court denied the petitions for certiorari making the subscriber class settlement effective on June 24, 2024. On October 14, 2024, the plaintiffs in the provider class action portion of this litigation filed a Motion for Preliminary Approval of a Proposed Settlement Agreement between the parties. On December 4, 2024, the Court entered an order granting Preliminary Approval of the provider settlement. The Corporation, based on consultation with legal counsel, believes adequate provision has been made in the financial statements for any potential liability related to this matter and continues to believe it has meritorious defenses to the claims in this matter.

Highmark Health

Notes to Consolidated Financial Statements

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(in thousands of dollars)

On July 9, 2021, Brian J. Lyngaas, D.D.S., P.L.L.C., individually and as the representative of a class of similarly-situated persons, filed a class action lawsuit alleging that the Corporation violated the Telephone Consumer Protection Act ("TCPA") by sending at least two facsimiles concerning the availability of discounted personal protective equipment during the COVID-19 Pandemic to plaintiff and members of the putative class purportedly without their consent. The lawsuit was filed in the United States District Court for the Eastern District of Michigan, Southern Division. On August 29, 2024, the Court granted the Corporation's motion for summary judgment and denied Plaintiff Lyngaas' motion for summary judgment. The Court dismissed with prejudice plaintiff's claims against the Corporation and further denied all outstanding motions as moot, including plaintiff's motion for class certification. On September 12, 2024, Plaintiff filed a notice of appeal of the Court's rulings and this briefing of the appeal is not complete. The United States Court of Appeals for the Sixth Circuit has scheduled oral argument for April 30, 2025.

Eight class action lawsuits were filed during February and March 2023 in the United States District Court for the Western District of Pennsylvania pertaining to an alleged December 2022 data breach regarding certain enrollment files. Six of such lawsuits were filed against Highmark Inc. and two were filed against Highmark Health. The alleged breach may have impacted the enrollment data of approximately 300,000 current, former, and/or potential members. The lawsuit asserts that the Corporation had an obligation under statutory and common law to protect the member information that may have been accessed as a result of the alleged breach. The plaintiff seeks on behalf of the class of impacted persons, damages, equitable relief, injunctive relief, prejudgment interest and attorneys' fees and expenses. On March 20, 2023, the court granted a motion to consolidate these and similar lawsuits into a single action. A consolidated amended class action complaint was filed against Highmark Inc. on June 12, 2023. Highmark Inc.'s motion to dismiss is pending. Highmark Inc. intends to vigorously defend the matter and, at present, is unable to predict the outcome of the matter or to reasonably estimate a range of possible loss.

On June 23, 2023, a class action lawsuit was filed against AHN in the United States District Court for the Western District of Pennsylvania. The complaint alleges that PHI and PII were tracked and disclosed to Facebook and other third parties purportedly from AHN websites. AHN moved to compel arbitration on an individual basis. The motion was fully briefed as of November 10, 2023. On May 16, 2024, the Court denied AHN's motion without prejudice. The parties conducted limited discovery on the issue of arbitrability. AHN filed a renewed motion to compel arbitration on July 31, 2024, which is fully briefed. On February 27, 2025, the Court denied AHN's motion to compel arbitration. AHN intends to vigorously defend this matter and, at present, is unable to predict the outcome of the matter or to reasonably estimate a range of possible loss.

On November 18, 2024, a Consolidated Class Action Complaint ("CAC") was filed in the class action track of the MultiPlan Antitrust MDL pending in the U.S. District Court for the Northern District of Illinois. Highmark Inc. is named as a defendant in the CAC as one of the "BCBS Defendants." The plaintiffs are out-of-network providers alleging that MultiPlan and healthcare insurers engaged in a price-fixing conspiracy with respect to reimbursement rates for out-of-network provider services. Plaintiffs allege violations of federal antitrust laws and seek injunctive relief and damages. On January 16, 2025, defendants filed a joint motion to dismiss the CAC. The Corporation intends to vigorously defend this matter and, at present, is unable to predict the outcome of the matter or to reasonably estimate a range of possible loss.

In January and February, 2025, seventeen class actions were filed relating to an October 11, 2024 cybersecurity incident experienced by IntraSystems, AHN Home Medical Equipment's IT vendor. Six lawsuits name AHN and eleven lawsuits name both AHN and IntraSystems. The lawsuits have been filed in three different courts: nine were filed in U.S. District Court for the District of Massachusetts, five have been filed in Allegheny County Court of Common Pleas, and three have been filed in the U.S. District Court for the Western District of Pennsylvania. The lawsuits allege various common law

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(in thousands of dollars)

and statutory claims related to the alleged data breach. AHN intends to vigorously defend this matter and, at present, is unable to predict the outcome of the matter or to reasonably estimate a range of possible loss.

Participation in government-sponsored healthcare programs subjects AHN to a variety of federal and state laws and regulations and risks associated with audits conducted under these programs. These audits may occur in years subsequent to AHN providing the relevant services under audit. Audit risks include repayment of claims and/or the payment of fines and penalties. AHN believes, based on consultation with legal counsel, adequate provision has been made in the financial statements for any potential liability related to these matters, and the amount of ultimate liability is not expected to materially affect the financial position or results from operations.

The Corporation is subject to various other contingencies, including legal and compliance actions and proceedings that arise in the ordinary course of its business. Due to the complex nature of these actions and proceedings, the timing of the ultimate resolution of these matters is uncertain. In the opinion of management, based on consultation with legal counsel, adequate provision has been made in the financial statements for any potential liability related to these matters, and the amount of ultimate liability is not expected to materially affect the financial position or results of operations of the Corporation.

17. Subsequent Events Since March 13, 2025 (unaudited)

As referenced in Note 16 of the accompanying financial statements, on July 9, 2021, Brian J. Lyngaas, D.D.S., P.L.L.C., individually and as the representative of a class of similarly-situated persons, filed a class action lawsuit alleging that Highmark violated the Telephone Consumer Protection Act ("TCPA") by sending at least two facsimiles concerning the availability of discounted personal protective equipment during the COVID-19 Pandemic to plaintiff and members of the putative class purportedly without their consent. The lawsuit was filed in the United States District Court for the Eastern District of Michigan, Southern Division. On June 9, 2025, the Sixth Circuit reversed the decision, but held that Lyngaas could not proceed on one of the faxes at issue because he did not receive it. Plaintiff filed a Petition for Rehearing with the Sixth Circuit on that point which the Sixth Circuit denied on July 8, 2025.

As referenced in Note 16 of the accompanying financial statements, eight class action lawsuits were filed during February and March 2023 in the United States District Court for the Western District of Pennsylvania pertaining to an alleged December 2022 data breach regarding certain enrollment files. Six of such lawsuits were filed against Highmark Inc. and two were filed against Highmark Health. The alleged breach may have impacted the enrollment data of approximately 300,000 current, former and/or potential members. The lawsuit asserts that Highmark had an obligation under statutory and common law to protect the member information that may have been accessed as a result of the alleged breach. The plaintiff seeks on behalf of the class of impacted persons, damages, equitable relief, injunctive relief, prejudgment interest and attorneys' fees and expenses. On April 28, 2025, the Court granted in part and denied in part the Corporation's motion to dismiss. The parties have a mediation scheduled for August 28, 2025. The Corporation intends to vigorously defend the matter and, at present, is unable to predict the outcome of the matter or to reasonably estimate a range of possible loss.

As referenced in Note 16 of the accompanying financial statements, a number of class action lawsuits filed throughout the United States against various BCBS Plans, including the Corporation have been consolidated in a multi-district litigation in the U.S. District Court for the Northern District of Alabama. On July 29, 2025, the Court held a Final Approval Hearing. The Corporation is also defending opt-out cases on the Subscriber and Provider sides which are currently in discovery. The Corporation, based on consultation with legal counsel, believes adequate provision has been made

Highmark Health

Notes to Consolidated Financial Statements

December 31, 2024 and 2023

(in thousands of dollars)

in the financial statements for any potential liability related to this matter and continues to believe it has meritorious defenses to the claims in this matter.

As referenced in Note 16, on November 18, 2024 a Consolidated CAC was filed in the class action track of the MultiPlan Antitrust MDL pending in the U.S. District Court of Illinois. Highmark Inc. is named as a defendant in the CAC as one of the “BCBS Defendants.” On June 2, 2025, the Court denied defendants’ Motion to Dismiss the federal and state antitrust claims and state consumer protection claims. The parties are currently in discovery. The Corporation intends to vigorously defend this matter and, at present, is unable to predict the outcome of the matter or to reasonably estimate a range of possible loss.

SUPPLEMENTARY CONSOLIDATING INFORMATION

Highmark Health

Consolidating Balance Sheet

Year Ended December 31, 2024

(in thousands of dollars)

	Highmark Health	Highmark Inc.	HM Health Solutions	Allegheny Health Network	Other	Eliminations	Total
Assets							
Cash and cash equivalents	\$ 101,159	\$ 755,045	\$ 65,787	\$ 305,445	\$ 180,149	\$ -	\$ 1,407,585
Accounts receivable							
Insurance, less allowance for doubtful accounts of \$83,559	-	3,856,915	-	-	-	-	3,856,915
Patient service	-	-	-	623,534	-	(266,818)	356,716
Other	97,680	241,925	155,518	83,491	25,394	(317,402)	286,606
Investments							
Debt securities, available-for-sale at fair value	-	6,240,724	-	80,466	-	-	6,321,190
Equity securities	-	2,235,857	-	18,207	-	-	2,254,064
Board designated, restricted and other investments at fair value	-	-	-	743,173	-	-	743,173
Investment in affiliates	9,607,932	7,239	-	29,599	3,046	(9,325,574)	322,242
Other	-	615,614	-	-	-	-	615,614
Reinsurance recoverables	-	186,523	-	-	-	-	186,523
Securities lending invested collateral	-	562,868	-	-	-	-	562,868
Medical supplies and inventory, net	-	6,920	-	110,501	-	-	117,421
Income tax recoverable	-	50,837	1,677	2,181	-	-	54,695
Deferred tax asset	-	40,615	15,093	6,803	-	-	62,511
Property and equipment, net	178,980	493,714	23,468	2,016,767	1,204	-	2,714,133
Goodwill and other intangible assets, net	7,500	285,183	-	114,845	11,765	(11,765)	407,528
Benefit plan asset	-	509,417	-	-	-	-	509,417
Operating lease right to use assets	-	117,073	13,605	221,397	156	-	352,231
Financing lease assets	-	-	-	63,133	-	-	63,133
Other assets	34,160	1,104,878	56,478	160,902	72	(42,793)	1,313,697
Total assets	\$ 10,027,411	\$ 17,311,347	\$ 331,626	\$ 4,580,444	\$ 221,786	\$ (9,964,352)	\$ 22,508,262
Liabilities and Net Assets							
Claims and claim adjustment expenses outstanding	\$ -	\$ 4,904,652	\$ -	\$ -	\$ -	\$ (256,684)	\$ 4,647,968
Unearned revenue	43,226	237,560	33,931	45,555	7,344	(73,402)	294,214
Amounts held for others	-	855,043	-	-	105,132	-	960,175
Accrued salaries and benefits	131,243	251,616	81,695	236,382	6,917	-	707,853
Other payables and accrued expenses	79,351	1,301,535	104,585	466,915	50,011	(266,316)	1,736,081
Income tax payable	-	10,703	-	-	193	-	10,896
Securities lending payable	-	562,361	-	-	-	-	562,361
Benefit plan liabilities, net	-	79,733	-	213,592	-	-	293,325
Debt	-	1,847,162	-	910,457	-	-	2,757,619
Operating lease right to use liabilities	-	125,809	13,745	232,813	174	-	372,541
Financing lease liabilities	-	-	-	72,159	-	-	72,159
Other liabilities	-	137,191	709	168,328	13,403	(30,609)	289,022
Total liabilities	253,820	10,313,365	234,665	2,346,201	183,174	(627,011)	12,704,214
Net Assets							
Without donor restrictions - Highmark Health	9,365,716	6,997,982	96,459	1,782,295	31,791	(8,928,964)	9,345,279
Without donor restrictions - noncontrolling interest	-	-	502	44,073	6,821	(502)	50,894
Total net assets without donor restrictions	9,365,716	6,997,982	96,961	1,826,368	38,612	(8,929,466)	9,396,173
With donor restrictions	407,875	-	-	407,875	-	(407,875)	407,875
Total net assets	9,773,591	6,997,982	96,961	2,234,243	38,612	(9,337,341)	9,804,048
Total liabilities and net assets	\$ 10,027,411	\$ 17,311,347	\$ 331,626	\$ 4,580,444	\$ 221,786	\$ (9,964,352)	\$ 22,508,262

The schedules of supplemental consolidating financial information are prepared in accordance with accounting policies described in the accompanying notes to the consolidated financial statements. These schedules are not intended to be a presentation in accordance with accounting principles generally accepted in the United States of America as a result of the exclusion of all required disclosures, as well as the information included within the "Eliminations" column.

Highmark Health
Consolidating Statements of Operations
Year Ended December 31, 2024

	Highmark Health	Highmark Inc.	HM Health Solutions	Allegheny Health Network	Other	Eliminations	Total
Revenue and other support							
Premium revenue, net	\$ -	\$ 23,263,944	\$ -	\$ -	\$ -	\$ -	\$ 23,263,944
Net patient service revenue	-	-	-	4,698,285	-	(1,158,395)	3,539,890
Service and other revenue	68,892	1,613,718	1,126,742	412,719	36,761	(945,391)	2,313,441
Affiliates income (loss)	32,879	(1,348)	-	-	-	-	31,531
Net assets released from restrictions	-	-	-	10,689	-	-	10,689
Total revenue and other support	<u>101,771</u>	<u>24,876,314</u>	<u>1,126,742</u>	<u>5,121,693</u>	<u>36,761</u>	<u>(2,103,786)</u>	<u>29,159,495</u>
Expenses							
Claims and claim adjustment expenses	-	21,724,167	-	-	-	(1,085,287)	20,638,880
Salaries, wages and other operating expenses, net	20,660	3,421,108	1,070,505	3,785,073	31,906	(1,006,734)	7,322,518
Patient care supplies	-	-	-	1,269,098	-	-	1,269,098
Depreciation and amortization	<u>69,457</u>	<u>146,463</u>	<u>4,915</u>	<u>219,676</u>	<u>773</u>	<u>-</u>	<u>441,284</u>
Total operating expenses	<u>90,117</u>	<u>25,291,738</u>	<u>1,075,420</u>	<u>5,273,847</u>	<u>32,679</u>	<u>(2,092,021)</u>	<u>29,671,780</u>
Operating gain (loss)	11,654	(415,424)	51,322	(152,154)	4,082	(11,765)	(512,285)
Net investment income, including							
net realized gains on investments	2,794	556,987	1,849	35,468	365	-	597,463
Interest expense	(3)	(63,475)	-	(27,569)	-	-	(91,047)
Equity gains of subsidiaries	47,062	-	-	-	187	(47,249)	-
Other components of net periodic benefit cost	<u>-</u>	<u>100,993</u>	<u>-</u>	<u>16,244</u>	<u>-</u>	<u>-</u>	<u>117,237</u>
Excess (deficit) of revenues over expenses before income taxes	61,507	179,081	53,171	(128,011)	4,634	(59,014)	111,368
Income tax provision (benefit)	<u>-</u>	<u>53,489</u>	<u>7,177</u>	<u>(2,941)</u>	<u>603</u>	<u>-</u>	<u>58,328</u>
Excess (deficit) of revenues over expenses before noncontrolling interest	61,507	125,592	45,994	(125,070)	4,031	(59,014)	53,040
Excess (deficit) of revenue over expenses attributable to noncontrolling interest	<u>-</u>	<u>-</u>	<u>187</u>	<u>4,001</u>	<u>(703)</u>	<u>(187)</u>	<u>3,298</u>
Excess (deficit) of revenue over expenses attributable to Highmark Health	<u>\$ 61,507</u>	<u>\$ 125,592</u>	<u>\$ 45,807</u>	<u>\$ (129,071)</u>	<u>\$ 4,734</u>	<u>\$ (58,827)</u>	<u>\$ 49,742</u>

The schedules of supplemental consolidating financial information are prepared in accordance with accounting policies described in the accompanying notes to the consolidated financial statements. These schedules are not intended to be a presentation in accordance with accounting principles generally accepted in the United States of America as a result of the exclusion of all required disclosures, as well as the information included within the "Eliminations" column.

**Information for Reports on Federal Awards in Accordance with the
Uniform Guidance for the year ended December 31, 2024**

Highmark Health

Schedule of Expenditures of Federal Awards

Year Ended December 31, 2024

Assistance Listing Number	Program Title	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Federal Expenditures	Provided to Subrecipients
<u>Research and Development Program Cluster:</u>					
U.S. Department of Defense Direct Awards					
12.420	Military Medical Research and Development			\$ 27,725	\$ -
	Total U.S. Department of Defense Direct Awards			27,725	-
U.S. Department of Defense Pass-Through Awards					
12.420	Military Medical Research and Development	Johns Hopkins University	2005363916	6,908	-
12.420	Military Medical Research and Development	Carnegie Mellon University	1130304-482655	12,353	-
	Total U.S. Department of Defense Pass-Through Awards			19,261	-
U.S. Department of Health and Human Services Direct Awards					
93.286	Discovery and Applied Research for Technological Innovations to Improve Human Health			9,983	-
93.351	Research Infrastructure Programs			161,193	9,886
	Total U.S. Department of Health and Human Services Direct Awards			171,176	9,886
U.S. Department of Health and Human Services Pass-Through Awards					
93.121	Oral Diseases and Disorders Research	University of Texas Health Science Center at Houston	SA0002559	189,292	-
93.242	Mental Health Research Grants	The University of Texas Health Science Center at San Antonio	171195/171194	37,355	-
93.242	Mental Health Research Grants	University of Pittsburgh	AWD00007070 (139132-2)	39,031	-
93.279	Drug Abuse and Addiction Research Programs	Magee-Womens Research Institute and Foundation	8135	9,038	-
93.279	Drug Abuse and Addiction Research Programs	University of Pittsburgh	AWD00004823 (137143-2)	48,106	-
93.286	Discovery and Applied Research for Technological Innovations to Improve Human Health	University of Pittsburgh	AWD00008721 (139636-1)	36,694	-
93.350	National Center for Advancing Translational Sciences	The Pennsylvania State University	ASRITR002014	92,128	-
93.393	Cancer Cause and Prevention Research	University of Pittsburgh	AWD00002665 (134868-1)	5,663	-
93.394	Cancer Detection and Diagnosis Research	Johns Hopkins University	2006441715	5,236	-
93.395	Cancer Treatment Research	Alliance	A011202	400	-
93.395	Cancer Treatment Research	Alliance	A021502	1,000	-
93.395	Cancer Treatment Research	Alliance	A022001	2,250	-
93.395	Cancer Treatment Research	Alliance	A022104	17,550	-
93.395	Cancer Treatment Research	ECOG-ACRIN	EAA173	2,850	-
93.395	Cancer Treatment Research	ECOG-ACRIN	EA3202	15,200	-
93.395	Cancer Treatment Research	ECOG-ACRIN	EA2174	50	-
93.395	Cancer Treatment Research	ECOG-ACRIN	EA2186	1,000	-
93.395	Cancer Treatment Research	ECOG-ACRIN	EA1151	13,770	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-BR007	12,500	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-BN011	3,300	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-GY019	5,550	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-GY018	(875)	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-GU002	(100)	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG GU009	36,200	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-GU010	63,000	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-BR009	11,100	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-HN009	11,500	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-GI008	2,700	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-GI005	250	-
93.395	Cancer Treatment Research	NRG Oncology Foundation Inc	NRG-CC008	7,350	-
93.395	Cancer Treatment Research	SWOG	S2206	6,900	-
93.837	Cardiovascular Diseases Research	Northwestern University	60062966	23,273	-
93.837	Cardiovascular Diseases Research	The University of Texas at San Antonio	1000004488	47,775	-
93.838	Lung Disease Research	Icahn School of Medicine at Mount Sinai	0255-1791-4609	6,022	-
93.847	Diabetes, Digestive, and Kidney Diseases Extramural Research	Northwestern University	60065090 ASRI	34,864	-
93.853	Extramural Research Programs in the Neurosciences and Neurological Disorders	University of Pittsburgh	AWD00005283 (137232-1)	10,973	-
93.853	Extramural Research Programs in the Neurosciences and Neurological Disorders	University of Pittsburgh	AWD00004006 (136043-4)	13,018	-
93.853	Extramural Research Programs in the Neurosciences and Neurological Disorders	The Regents of the University of California	1685 G ZC389 441480-NK-31793	27,067	-
93.865	Child Health and Human Development Extramural Research	University of Pittsburgh	AWD0001153 (133565-1)	3,171	-
	Total U.S. Department of Health and Human Services Pass-Through Awards			842,151	-

The accompanying notes are an integral part of the Schedule of Expenditures of Federal Awards

Highmark Health

Schedule of Expenditures of Federal Awards

Year Ended December 31, 2024

Assistance Listing Number	Program Title	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Federal Expenditures	Provided to Subrecipients
U.S. National Science Foundation Pass-Through Awards 47.074	Biological Sciences Total U.S. National Science Foundation Pass-Through Awards	University of Pittsburgh	AWD00006334 (012885-1)	\$ 15,365 15,365	\$ - -
Total Research and Development Cluster				1,075,678	9,886
<u>Student Financial Assistance Cluster:</u>					
U.S. Department of Education Direct Awards					
84.007	Federal Supplemental Educational Opportunity Grants			25,650	-
84.063	Federal Pell Grant Program			701,232	-
84.268	Federal Direct Student Loans			1,586,172	-
	Total U.S. Department of Education Direct Awards			2,313,054	-
U.S. Department of Health and Human Services Direct Awards					
93.364	Nursing Student Loans Net Beginning Balance as of January 1, 2024			395,119	-
93.364	Nursing Student Loans Disbursements During the Year			57,250	-
	Total U.S. Department of Health and Human Services Direct Awards			452,369	-
Total Student Financial Assistance Cluster				2,765,423	-
<u>Other Awards:</u>					
U.S. Department of Health and Human Services Direct Awards					
93.211	Telehealth Programs			179,068	-
93.243	Substance Abuse and Mental Health Services_Proj			122,958	-
93.243	Substance Abuse and Mental Health Services_Proj			531,894	115,679
93.243	Substance Abuse and Mental Health Services_Proj			617,227	123,556
93.243	Substance Abuse and Mental Health Services_Proj			155,625	-
	Total Substance Abuse and Mental Health Services_Proj			1,427,704	239,235
93.247	Advanced Nursing Education Grant Program			649,480	-
93.493	Congressional Directives			114,914	81,624
93.493	Congressional Directives			782,269	-
	Total Congressional Directives			897,183	81,624
93.918	Grants to Provide Outpatient Early Intervention Services with Respect to HIV Disease			603,457	-
	Total U.S. Department of Health and Human Services Direct Awards			3,756,892	320,859

The accompanying notes are an integral part of the Schedule of Expenditures of Federal Awards

Highmark Health

Schedule of Expenditures of Federal Awards

Year Ended December 31, 2024

Assistance Listing Number	Program Title	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Federal Expenditures	Provided to Subrecipients
U.S. Department of Health and Human Services Pass-Through Awards					
93.136	Injury Prevention and Control Research and State and Community Based Programs	Commonwealth of PA - Department of Health	4100097899	\$ 96,382	\$ -
93.243	Substance Abuse and Mental Health Services_Projects of Regional and National Significance	Medical University of South Carolina	A22-0027-S003	8,969	-
93.243	Substance Abuse and Mental Health Services_Projects of Regional and National Significance	Drexel University	900150	11,496	-
93.243	Substance Abuse and Mental Health Services_Projects of Regional and National Significance	Gallaudet University	0000028934	11,626	-
	Total Substance Abuse and Mental Health Services_Projects of Regional and National Significance			32,091	-
93.767	Children's Health Insurance Program ("CHIP")	New York State Department of Health	C022801	9,223,258	-
93.959	COVID-19 Block Grants for Prevention and Treatment of Substance Abuse	Pennsylvania Department of Drug and Alcohol Programs	4100090510	36,252	-
93.959	COVID-19 Block Grants for Prevention and Treatment of Substance Abuse	Pennsylvania Department of Drug and Alcohol Programs	4100090510	249,666	-
	Total COVID-19 Block Grants for Prevention and Treatment of Substance Abuse			285,918	-
	Total U.S. Department of Health and Human Services Pass-Through Awards			9,637,649	-
U.S. Department of Housing and Urban Development Pass-Through Awards					
14.231	COVID-19 Emergency Solutions Grant Program	City of Pittsburgh	1250150019.58101.00 Item# 1637	(16,946)	-
	Total U.S. Department of Housing and Urban Development Pass-Through Awards			(16,946)	-
U.S. Department of Treasury Pass-Through Awards					
21.027	COVID-19 Coronavirus State and Local Fiscal Recovery Funds	Jewish Healthcare Foundation	4100093124	87,006	-
	Total U.S. Department of Treasury Pass-Through Awards			87,006	-
	Total Other Awards			13,464,601	320,859
TOTAL FEDERAL EXPENDITURES				17,305,702	330,745

The accompanying notes are an integral part of the Schedule of Expenditures of Federal Awards

Highmark Health

Schedule of Expenditures of Federal Awards

Year Ended December 31, 2024

1. General

The accompanying Schedule of Expenditures of Federal Awards (the "Schedule") presents the activity of federal financial assistance programs of Highmark Health (the "Corporation") for the year ended December 31, 2024. Federal awards received directly from federal agencies as well as federal awards passed through other prime recipients are included in the accompanying Schedule.

2. Basis of Presentation

The Schedule is presented on the accrual basis of accounting. Negative expenditures detailed in the Schedule result from current year adjustments to prior year award amounts. The Corporation charges indirect costs to federal awards based on negotiated rates as defined in each grant award. The information in this Schedule is presented in accordance with the requirements of Title 2, *U.S. Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ("Uniform Guidance"). Therefore, some of the amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the basic consolidated financial statements.

Because the Schedule presents only a selected portion of the activities of the Corporation, it is not intended to, and does not, present either the financial position, results of operations, or cash flows of the Corporation.

3. New York Child Health Plus ("CHP")

The CHP program (Assistance Listing Number ("ALN") 93.767) in New York offers free or low-cost health insurance to uninsured children from birth through 18 years old. Highmark NY currently administers CHP (through a management contractor, Wellpoint Partnership Plan) to over 6,200 children in 8 counties across western New York.

The CHP program provides eligibility, enrollment, education and outreach functions. Additionally, Highmark NY, provides insurance coverage and retains all insurance obligations.

The CHP program in New York is funded by the New York State Department of Health, which receives federal funding.

4. Nursing Student Loan Program

AHN administers the Federal Nursing Student Loan Program (ALN 93.364). Net loans outstanding at the beginning of the year and loans made during the year under this program are included in the Schedule. The net loans outstanding at December 31, 2024 under this program were \$371,648.



Report of Independent Auditors on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

To the Board of Directors of Highmark Health

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the consolidated financial statements of Highmark Health and its subsidiaries and affiliates (the "Company"), which comprise the consolidated balance sheet as of December 31, 2024, and the related consolidated statements of operations and changes in net assets and of cash flows for the year then ended, including the related notes (collectively referred to as the "consolidated financial statements"), and have issued our report thereon dated March 13, 2025, except with respect to the opinion on the schedule of expenditures of federal awards as to which the date is September 25, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the consolidated financial statements, we considered the Company's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the consolidated financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, we do not express an opinion on the effectiveness of the Company's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.



Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Company's consolidated financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Company's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Company's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

PricewaterhouseCoopers LLP

Hartford, Connecticut

March 13, 2025, except with respect to the opinion on the schedule of expenditures of federal awards as to which the date is September 25, 2025



Report of Independent Auditors on Compliance for Each Major Program and on Internal Control Over Compliance Required by Uniform Guidance

To the Board of Directors of Highmark Health

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Highmark Health and its subsidiaries and affiliates' (the "Company") compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the Company's major federal programs for the year ended December 31, 2024. The Company's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Company complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (US GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Company's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the Company's federal programs.



Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Company's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Company's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with US GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Company's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Company's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

As indicated in Part I to the accompanying Schedule of Findings and Questioned Costs, we have audited the Student Financial Assistance cluster as a major program. Also, as indicated in the first paragraph of this report, we performed our audit of compliance using the compliance requirements contained in the OMB Compliance Supplement, including those contained in Part V 5.3, Compliance Requirement N, Special Tests and Provisions, Section 11 "Gramm-Leach-Bliley Act-Student Information Security." This section includes two suggested audit procedures with respect to verification that the institution (1) designated a Qualified Individual responsible for implementing and monitoring the institution's information security program, and (2) has a written information security program that addresses the remaining six required minimum elements that are detailed in the OMB Compliance Supplement, Part Five, Student Financial Assistance Cluster, Special Tests and Provisions, item 11, Gramm-Leach-Bliley Act – Student Information Security. Our procedures in relation to these two items were limited to inquiry of and obtaining written representation from management and obtaining and reading management's



documentation related to these two items. Our procedures did not include an analysis of the adequacy or completeness of the minimum required elements of the institution's information security program.

The results of our auditing procedures disclosed instances of noncompliance, which are required to be reported in accordance with the Uniform Guidance and which are described in the accompanying schedule of findings and questioned costs as items 2024-001 and 2024-002. Our opinion on each major federal program is not modified with respect to these matters.

Government Auditing Standards requires the auditor to perform limited procedures on the Company's response to the noncompliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. The Company's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

PricewaterhouseCoopers LLP

Hartford, Connecticut
September 25, 2025

Highmark Health

Schedule of Findings and Questioned Costs

Year Ended December 31, 2024

Section I – Summary of Auditors' Results

Financial Statements

Type of auditors' report issued: Unmodified

Internal control over financial reporting

Material weakness(es) identified? ☐ Yes ☒ No

Significant deficiency(ies) identified that are not considered to be material weaknesses? ☐ Yes ☒ None reported

Noncompliance material to financial statements noted? ☐ Yes ☒ No

Federal Awards

Internal control over major programs

Material weakness(es) identified? ☐ Yes ☒ No

Significant deficiency(ies) identified that are not considered to be material weaknesses? ☐ Yes ☒ None reported

Type of auditors' report issued on compliance for major programs: Unmodified

Any audit findings disclosed that are required to be reported in accordance with OMB Uniform CFR 200.516(a) Guidance? ☒ Yes ☐ No

Identification of major programs:

Assistance Listing Number

Various
93.493

93.918

Name of Federal Program or Cluster

Student Financial Assistance Cluster
Congressional Directives
Grants to Provide Outpatient Early Intervention Services
with Respect to HIV Disease

Dollar threshold used to distinguish between Type A and Type B programs: \$ 750,000

Auditee qualified as low-risk auditee? ☒ Yes ☐ No

Highmark Health

Schedule of Findings and Questioned Costs

Year Ended December 31, 2024

Section II – Financial Statement Findings

There were no financial statement findings in the current year.

Section III – Federal Award Findings

2024-001 – Non-compliance with Enrollment Reporting Requirements

Grantor: U.S. Department of Education

Program Name: Student Financial Assistance Cluster

Award Names: Federal Pell Grant Program and Federal Direct Student Loans

Award Year: 1/1/2024 - 12/31/2024

Award Number: Not applicable

Assistance Listing Numbers: 84.063 and 84.268

Criteria:

In accordance with 34 CFR 690.83(b)(2) and 685.309, institutions are required to report enrollment information under the Federal Pell Grant and Federal Direct Loan programs through NSLDS. The enrollment information, inclusive of Campus Level and Program Level data, must be reviewed, updated and validated by the institution in a timely manner. Furthermore, specific to the Federal Direct Loan program, for a student that received a Direct Loan and was enrolled or accepted for enrollment at the institution, and the student had ceased to be enrolled on at least a half-time basis or failed to enroll on at least a half-time basis for the period for which the loan was intended, the institution must report the change within 60 days from which the change was identified.

Condition:

We reviewed a sample of twenty-five students enrolled at the AHN Schools of Nursing who received either Pell and/or Direct Loans and had a change of enrollment status during the fiscal year. Of the twenty-five students tested, one student was reported to NSLDS with an inaccurate enrollment status. Specifically, the incorrect date of withdrawal was reported for both the campus and program levels; however, the change was reported to NSLDS within the required 60-day timeframe.

Cause:

The root cause for the improper reporting was due to a manual process resulting in the clerical error and related improper reporting.

Effect:

A student's enrollment status determines eligibility for in-school status, deferment, and grace periods, as well as for the payment of interest subsidies all of which are impacted by inaccurate reporting.

Questioned Costs (If applicable):

None

Recommendation:

We recommend the AHN Schools of Nursing perform the following:

- Update the enrollment status for this particular student;
- Ensure all individuals involved in processing student enrollment changes are aware of the School's policies and procedures to process that change accurately and timely;
- Review procedures and controls to ensure accurate enrollment reporting; and
- Establish appropriate segregation of duties.

Management's Response:

Management Response and Corrective Action Plan is included at the end of this report after the summary schedule of prior audit findings and status.

Highmark Health

Schedule of Findings and Questioned Costs

Year Ended December 31, 2024

2024-002 – Non-compliance with Disbursements to or on behalf of students

Grantor: U.S. Department of Education

Program Name: Student Financial Assistance Cluster

Award Names: Federal Supplemental Educational Opportunity Grants (FSEOG), Federal Pell Grant Program and Federal Direct Student Loans

Award Year: 1/1/2024 - 12/31/2024

Award Number: Not applicable

Assistance Listing Numbers: 84.007, 84.063 and 84.268

Criteria:

34 CFR 668.165 which requires the institution, in advance of disbursement, to provide a general notification to all students receiving Title IV program funds including (1) the anticipated date and amount of the disbursement; (2) the student's or parent's right to cancel all or a portion of that loan or loan disbursement; and (3) the procedures and time by which the student or parent must notify the institution that he or she wishes to cancel the loan.

34 CFR 668.165 (a)(6)(i) which defines affirmative confirmation as a process under which an institution obtains written confirmation of the types and amounts of Title IV program loans that a student needs for the period of enrollment.

Electronic Signatures in Global and National Commerce Act (E-Sign Act) which requires that a school must obtain a student's voluntary consent to participate in electronic transactions.

Condition:

Based on our testing, we noted the following:

- For 16 students of the 25 sampled, we noted there was no evidence of the school notifying the borrower in writing (paper or electronically) of 1) anticipated date and amount of the disbursement; 2) student's or parent's right to cancel all or a portion of a loan, loan disbursement, TEACH Grant, or TEACH Grant disbursement and have the loan proceeds or TEACH Grant proceeds returned to the Department; and 3) procedures and deadlines by which the student or parent must notify the school that he or she wishes to cancel the loan, loan disbursement, TEACH Grant, or TEACH Grant disbursement.
- For 1 student of the 25 sampled, we noted there was no acceptance timestamp for the disbursement showing the disbursement notification was sent to the student within the proper timeline and received affirmative confirmation.
- For 1 student of the 25 sampled, we noted there was no signed handbook attestation available to verify the school obtained the student's voluntary consent to participate in electronic transactions.

Cause:

Individuals involved in the process did not maintain documentation to evidence that proper notifications were sent to borrowers, nor that consent for participation in electronic transactions was obtained.

Effect:

A lack of disbursement notifications, affirmative confirmation and student consent to participate in electronic transactions may result in less aid awarded to the School based on noncompliance with this requirement from the Department of Education.

Highmark Health

Schedule of Findings and Questioned Costs

Year Ended December 31, 2024

Questioned Costs (if applicable):

None

Recommendation:

The AHN Schools of Nursing should enhance their current controls in place to ensure that sufficient documentation is retained to meet all compliance requirements, such as the following:

- Establish a process for the School to receive a copy of the notification sent to the borrower receiving Title IV program funds
- Establish a process that prevents the disbursement of funds until notifications are validated and approved as per the student account file
- Establish a process that prompts students to voluntarily consent to participate in electronic transactions at the time of loan acceptance

Management's Response:

Management Response and Corrective Action Plan is included at the end of this report after the summary schedule of prior audit findings and status.

Highmark Health
Summary Schedule of Prior Audit Findings
Year Ended December 31, 2024

Section IV – Status of Prior Year’s Award Findings

There were no findings noted in the prior year audit which required update in the current year.



Management's Views and Corrective Action Plan

2024-001 – Non-compliance with Enrollment Reporting Requirements

Grantor: U.S. Department of Education

Program Name: Student Financial Assistance Cluster

Award Names: Federal Pell Grant Program and Federal Direct Student Loans

Award Year: 1/1/2024 - 12/31/2024

Award Number: Not applicable

Assistance Listing Numbers: 84.063 and 84.268

Management's Response

Management agrees with the finding as it relates to the improper reporting to NSLDS of enrollment reporting for one student. The improper reporting was due to a human clerical error.

As of the date of this report, management notes that the identified student's enrollment status has been updated to NSLDS. Currently all financial aid aspects of the AHN Schools of Nursing are completed by one personnel. Management has communicated reminders of the student enrollment change requirements, as well as the AHN Schools of Nursing policies and procedures to the personnel to ensure that changes are reported accurately and timely. In addition, management is in process of recruiting an additional Financial Aid Officer, who will act as an additional layer of review and cross-checks to ensure that data is being reported for enrollments accurately and timely.

Anticipated Completion Date

As of the date of this report, the noted student's enrollment status has been updated. Management is actively recruiting for an additional Financial Aid Officer and is working to fill the open position as soon as possible.

Responsible Parties

- Amy Stoker, Director of AHN Schools of Nursing
- Sarah Loomis, Director of Financial Aid of AHN Schools of Nursing



Management's Views and Corrective Action Plan

2024-002 – Non-compliance with Disbursements to or on behalf of students

Grantor: U.S. Department of Education

Program Name: Student Financial Assistance Cluster

Award Names: Federal Supplemental Educational Opportunity Grants (FSEOG), Federal Pell Grant Program and Federal Direct Student Loans

Award Year: 1/1/2024 - 12/31/2024

Award Number: Not applicable

Assistance Listing Numbers: 84.007, 84.063 and 84.268

Management's Response

Management has sent disbursement notifications to students and tracked aspects of the notifications via the AHN Schools of Nursing's (the "Schools") student portal. Each notification was sent by email to the student, and an activity was logged in the student's audit log and activity tracking with the student portal.

From this process, management agrees that the Schools were unable to extract the exact disbursement details that were sent via the disbursement email. Additionally, the Schools could not replicate the disbursement email that is sent to the student.

To ensure all reporting requirements are met, the Schools have ensured that a copy of the disbursement email will be sent to both the student and the institution. The Schools have already modified the disbursement notification process by adding a secondary email address to the disbursement notifications. A copy of each notification will be sent to campuscafesuperuser@ahn.org to ensure a copy of the notifications will be available for future audits.

Management agrees that there was no receipt of affirmative confirmation for one student and no available signed attestation to verify voluntary consent to participate in electronic transactions for one student. The lack of receipt and documentation was due to a human clerical error.

Management has communicated reminders of the related requirements, as well as the Schools policies and procedures to the personnel. In addition, management is in process of recruiting an additional Financial Aid Officer, who will act as an additional layer of review and cross-checks to ensure documentation is retained appropriately.

Anticipated Completion Date

As of the date of this report the above noted process has been updated and is current procedure. Management is actively recruiting for an additional Financial Aid Officer and is working to fill the open position as soon as possible.

Responsible Parties

- Amy Stoker, Director of AHN Schools of Nursing
- Sarah Loomis, Director of Financial Aid of AHN Schools of Nursing
- Rosanna Sarantinoudis, Student Accounts Associate and Registrar of West Penn Hospital School of Nursing
- Natalia Wassel, Student Accounts Associate and Registrar of West Penn Hospital School of Nursing